III
Investor

ADDITIONAL READING: R Wisner and R Gallus, 'Nationality Requirements in Investor–State Arbitration' (2004) 5 *JWIT* 927; A Sinclair, 'The Substance of Nationality Requirements in Investment Treaty Arbitration' (2005) 20 *ICSID Rev* 357; M Mendelson, 'Issues Relating to the Identity of the Investor' in AW Rovine (ed) *Contemporary Issues in International Arbitration and Mediation* (2010) 22; A Romanetti, 'Defining Investors' (2012) 29 *ICSID Rev* 231; AK Hoffmann, 'Denial of Benefits' in M Bungenberg et al (eds) *International Investment Law* (2015) 598; M Perkams, 'Protection for Legal Persons' in M Bungenberg et al (eds) *International Investment Law* (2015) 638; LF Reed and JE Davis, 'Who is a Protected Investor?' in M Bungenberg et al (eds) *International Investment Law* (2015) 614; S Jagusch et al, 'Restructuring Investments to Achieve Investment Treaty Protection' in M Kinnear et al (eds) *Building International Investment Law* (2016) 175; C Schreuer, 'Criteria to Determine Investor Nationality (Natural Persons)' in M Kinnear et al (eds) *Building International Investment Law* (2016) 153; P Tercier and N-H Tran Thang, 'Criteria to Determine Investor Nationality (Juridical Persons)' in M Kinnear et al (eds) *Building International Investment Law* (2016) 141; Y Kawabata et al, 'Covered Investors' in B Legum (ed) *The Investment Treaty Arbitration Review*, 3rd edn (2018) 14.

1. Private foreign investors

International investment law is designed to promote and protect the activities of private foreign investors. This does not necessarily exclude the protection of government-controlled entities as long as they act in a commercial rather than in a governmental capacity.[1] Even investors substantially owned by States will qualify.[2]

[1] A Broches, 'The Convention on the Settlement of Investment Disputes between States and Nationals of Other States' (1972-II) *Recueil* 331, 354–355; C Annacker, 'Protection and Admission of Sovereign Investment under Investment Treaties' (2010) 10 *Chinese JIL* 531; S Konrad, 'Protection of Investments Owned by States' in M Bungenberg et al (eds) *International Investment Law* (2015) 545; LN Skovgaard Poulsen, 'States as Foreign Investors' (2016) 31 *ICSID Rev* 12; R Mohtashami and F El-Hosseny, 'State-Owned Enterprises as Claimants before ICSID' (2016) 3 *BCDR Int'l Arb Rev* 371.

[2] *CSOB v Slovakia*, Decision on Jurisdiction, 24 May 1999, paras 16–27; *Rumeli Telekom v Kazakhstan*, Award, 29 July 2008, paras 324–329; *Flughafen Zürich v Venezuela*, Award, 18 November 2014, paras 271–286; *Beijing Urban Construction v Yemen*, Decision on Jurisdiction, 31 May 2017, paras 31–47; *Masdar v Spain*, Award, 16 May 2018, paras 155, 169–173; *Stadtwerke München v Spain*, Award, 2 December 2019, paras 133–134.

Exceptionally, investment treaties in their definitions of investors specifically exclude[3] or include[4] State-owned entities. Whether non-profit organizations may be regarded as investors is less clear and will depend on the nature of their activities.[5]

Investors are either individuals (natural persons) or companies (juridical persons). In the majority of cases the investor is a company but at times individuals also act as investors.[6] The investor's nationality determines the foreignness of the investment. The origin of the investment, in particular of the capital, is not decisive for the question of the existence of a foreign investment.[7]

The investor's nationality determines from which treaties it may benefit.[8] If the investor wishes to rely on a BIT, it must show that it has the nationality of one of the two States parties. If the investor wishes to rely on a regional treaty, such as the Energy Charter Treaty (ECT) or the United States–Mexico–Canada Agreement (USMCA), it must show that it has the nationality of one of the States parties to the treaty. If the investor wishes to rely on the ICSID Convention, it must show that it has the nationality of one of the States parties to the ICSID Convention.

The investor's nationality is relevant for two purposes. The substantive standards guaranteed in a treaty will only apply to the respective nationals.[9] In addition, the jurisdiction of an international tribunal is determined, *inter alia*, by the claimant's nationality.[10] In particular, if the host State's consent to jurisdiction is given through a treaty, it will apply only to nationals of a State that is a party to the treaty.

Traditionally, international practice on nationality issues has been shaped to a large extent by cases involving the diplomatic protection of individuals and companies by their States of nationality.[11] Whether the principles developed in that context can simply be transferred to situations where the investor has direct access

[3] Panama–Germany BIT (1983) Article 1(4)(a); Panama–Switzerland BIT (1983) Article 8(b)(ii); Panama–United Kingdom BIT (1983) Article 1(d)(i).

[4] Kuwait–Germany BIT (1994) Article 1(3)(b)(iii).

[5] The MIGA Convention in Article 13(a)(iii) requires that an eligible investor operates on a commercial basis. The Argentina–Germany BIT includes legal persons 'whether or not organized for pecuniary gain'. Generally, see N Gallus and LE Peterson, 'International Investment Treaty Protection of NGOs' (2006) 22 *Arbitr Int* 527.

[6] For this reason, it is most appropriate to refer to investors in general not as 'she' or 'he' but as 'it'.

[7] See IV.6 below.

[8] Exceptionally, the status of foreign investors may be extended to permanent residents. See NAFTA Article 201; ECT Article 1(7)(a)(i). Some treaties require domicile or economic activity in the State concerned in addition to nationality.

[9] On the issue of rights conferred upon private investors through treaties see O Spiermann, 'Individual Rights, State Interests and the Power to Waive ICSID Jurisdiction under Bilateral Investment Treaties' (2004) 20 *Arbitr Int* 179, 183 et seq.

[10] See XII.6(c) below.

[11] *Nottebohm Case (Liechtenstein v Guatemala)*, Judgment, 6 April 1955, ICJ Reports (1955) 4; *Case Concerning the Barcelona Traction, Light and Power Company, Limited, (Belgium v Spain)*, Judgment, 5 February 1970, ICJ Reports (1970) 3. In *Diallo* (*Guinea v DR Congo*), Judgment, 24 May 2007, ICJ Reports (2007) 582 the International Court of Justice confirmed in para 61, that 'only the State of nationality may exercise diplomatic protection on behalf of the company when its rights are injured by a wrongful act of another State'.

to international arbitration is subject to doubt.[12] Applicable treaties as well as arbitral practice on investor protection have developed in a way that differs in several respects from the principles governing diplomatic protection.

2. Nationality of individuals

An individual's nationality is determined primarily by the law of the country whose nationality is at issue.[13] A certificate of nationality, issued by the competent authorities of a State, is strong evidence for the existence of the nationality of that State but is not necessarily conclusive.[14]

In *Soufraki v United Arab Emirates*,[15] the claimant had produced several Italian certificates of nationality. The Tribunal found that the claimant had lost that nationality as a consequence of the acquisition of Canadian nationality, a fact that was evidently unknown to the Italian authorities. As a Canadian national he was unable to rely on the BIT between Italy and the United Arab Emirates (UAE). Also, ICSID jurisdiction was unavailable since, at the time, Canada was not a party to the ICSID Convention. The Tribunal said:

> It is accepted in international law that nationality is within the domestic jurisdiction of the State, which settles, by its own legislation, the rules relating to the acquisition (and loss) of its nationality… But it is no less accepted that when, in international arbitral or judicial proceedings, the nationality of a person is challenged, the international tribunal is competent to pass upon that challenge… Where, as in the instant case, the jurisdiction of an international tribunal turns on an issue of nationality, the international tribunal is empowered, indeed bound, to decide that issue.[16]

Having found that the claimant did not have Italian nationality as a matter of Italian law, the Tribunal did not find it necessary to deal with the respondent's contention that in the absence of a genuine link this nationality would have been ineffective.[17]

In *Olguín v Paraguay*,[18] the claimant relied on the bilateral investment treaty (BIT) between Paraguay and Peru. The respondent objected that Olguín, in

[12] M Hirsch, *The Arbitration Mechanism of the International Centre for the Settlement of Investment Disputes* (1993) 76.

[13] *Pey Casado v Chile*, Award, 8 May 2008, paras 254–260.

[14] *Micula v Romania I*, Decision on Jurisdiction and Admissibility, 24 September 2008, paras 70–106; *Tza Yap Shum v Peru*, Decision on Jurisdiction and Competence, 19 June 2009, paras 42–77; *Arif v Moldova*, Award, 8 April 2013, paras 354–359; *Kim v Uzbekistan*, Decision on Jurisdiction, 8 March 2017, paras 5, 6, 206–236.

[15] *Soufraki v UAE*, Award, 7 July 2004.

[16] At para 55.

[17] At paras 42–46.

[18] *Olguín v Paraguay*, Award, 26 July 2001.

addition to his Peruvian nationality, also had US nationality and that he resided in the United States. The Tribunal found that the claimant held dual nationality and that both nationalities were effective. The fact that he had Peruvian nationality was enough, in the Tribunal's view, to afford him the protection of the BIT.[19]

Tribunals were generally unimpressed by arguments concerning the effectiveness of a nationality. In *Micula v Romania*[20] the Tribunal said:

> *Nottebohm* cannot be read to allow or require that a State disregard an individual's single nationality on the basis of the fact that this individual has not resided in the country of his nationality for a period of time.[21]

In *Fakes v Turkey*,[22] the claimant held both Netherlands and Jordanian nationalities and sought to rely on the BIT between the Netherlands and Turkey. The Tribunal rejected the respondent's argument concerning the lack of effectiveness of the Netherlands nationality. The Tribunal found the rules concerning a 'genuine link' as developed in the context of diplomatic protection inapplicable. But the Tribunal left open the possibility of applying an effective nationality test in exceptional circumstances such as a nationality of convenience or a nationality passed on over several generations without any ties to the country in question.[23]

Under the ICSID Convention, nationals of the host State will be excluded from international protection even if they also hold the nationality of another State. The ICSID Convention, in Article 25(2)(a), explicitly excludes dual nationals if one of their nationalities is that of the host State. Whether this negative nationality requirement should apply also in non-ICSID cases is not entirely clear. There is authority that host State nationality is not an obstacle to jurisdiction outside the ICSID context,[24] but there is also authority to the contrary[25] where the host State's nationality is dominant.[26] Exceptionally, a BIT may provide that an investor must not have the host State's nationality.[27]

In *Champion Trading v Egypt*,[28] three of the individual claimants had dual US and Egyptian nationality. The Tribunal was unimpressed by the argument that the Egyptian nationality was not effective.[29] It found that the ICSID

[19] At paras 60–62.
[20] *Micula v Romania I*, Decision on Jurisdiction and Admissibility, 24 September 2008.
[21] At para 103.
[22] *Fakes v Turkey*, Award, 14 July 2010.
[23] At paras 54–81.
[24] *Serafín García Armas v Venezuela*, Decision on Jurisdiction, 15 December 2014, paras 167–175.
[25] *Rawat v Mauritius*, Award on Jurisdiction, 6 April 2018, paras 166–184.
[26] *Manuel García Armas v Venezuela*, Award on Jurisdiction, 13 December 2019, paras 659–741.
[27] Canada–Venezuela BIT (1996) Article I(g).
[28] *Champion Trading v Egypt*, Decision on Jurisdiction, 21 October 2003.
[29] The claimants relied upon the *Nottebohm Case (Liechtenstein v Guatemala)*, Judgment, 6 April 1955, ICJ Reports (1955) 4 and upon a leading case before the Iran–US Claims Tribunal: *Decision in*

Convention had a clear and specific rule to the effect that any person who also has the nationality of the host State is excluded from bringing a claim under the Convention.[30]

On the other hand, a North American Free Trade Agreement (NAFTA) Tribunal found in *Feldman v Mexico*[31] that the claimant, being a citizen of the United States only, had standing although he had his permanent residence in the host State.[32] The Tribunal said:

> under general international law, citizenship rather than residence or any other geographic affiliation is the main connecting factor between a state and an individual.[33]

In *Siag v Egypt*,[34] the claimants' Italian nationality was uncontested. The Tribunal found that they had lost their previous Egyptian nationality as a matter of Egyptian law. The Tribunal held that the claimants' historic and continuing residence and business interests in Egypt were irrelevant. Since the claimants were not dual nationals, there was no room for a test of dominant or effective nationality.[35]

Under some treaties, the dominant and effective nationality shall be decisive in case of dual nationals.[36] In *Aven v Costa Rica*,[37] the claimant was a US and Italian national and brought his claim as a US citizen under the Dominican Republic–Central American Free Trade Agreement (DR–CAFTA). The respondent objected to the Tribunal's jurisdiction since the claimant, when dealing with the Costa Rican authorities, had presented himself as an Italian citizen.[38] The Tribunal held that the provision on dominant nationality in Article 10.28 DR–CAFTA only applies to cases where nationalities of two parties to the Treaty are at stake. Since the claimant was not a citizen of the host State, the dominant and effective test was not relevant.[39]

Case No. A/18 Concerning the Question of Jurisdiction over Claims of Persons with Dual Nationality, 5 Iran–US CTR 252, (1984) 23 ILM 489.

[30] At section 3.4.1.
[31] *Feldman v Mexico*, Decision on Jurisdiction, 6 December 2000.
[32] At paras 24–37.
[33] At para 30. See also the Award in the same case, 16 December 2002, para 48.
[34] *Siag v Egypt*, Decision on Jurisdiction, 11 April 2007.
[35] At paras 195–201.
[36] USMCA Article 14.1; DR–CAFTA Article 10.28: 'investor of a Party … a natural person who is a dual national shall be deemed to be exclusively a national of the State of his or her dominant and effective nationality'.
[37] *Aven v Costa Rica*, Award, 18 September 2018.
[38] At para 211.
[39] At para 215. See also *Ballantine v Dominican Republic*, Final Award, 3 September 2019, paras 529–557.

3. Nationality of corporations

Nationality normally presupposes legal personality. Therefore, unincorporated entities and groupings will not, in general, enjoy legal protection,[40] although a treaty may provide otherwise.[41]

Corporate nationality is considerably more complex than that of individuals. Legal systems and treaties use a variety of criteria to determine whether a juridical person is a national or an investor of a particular State. Sometimes the same treaty adopts separate definitions of corporate nationality for each party.

The most commonly used criteria for corporate nationality are incorporation or the main seat of the business ('*siège social*'):

> According to international law and practice, there are different possible criteria to determine a juridical person's nationality. The most widely used is the place of incorporation or registered office. Alternatively, the place of the central administration or effective seat may also be taken into consideration.[42]

Many treaties follow one or the other of these criteria. Some stress incorporation. The Energy Charter Treaty's (ECT) definition of 'investor' includes 'a company or other organization organized in accordance with the law applicable in that Contracting Party'.[43] The BIT between Poland and the United Kingdom describes corporate investors as 'any corporations, firms, organisations and associations incorporated or constituted under the law in force in that Contracting Party'. The US Model BIT of 2012 describes an 'enterprise of a Party' as 'an enterprise constituted or organized under the law of a Party'.

In cases, in which the relevant treaties provided for incorporation as the relevant criterion, tribunals have refused to pierce the corporate veil and to look at the nationality of the company's owners.[44] In *Tokios Tokelės v Ukraine*,[45] the claimant

[40] *LESI DIPENTA v Algeria*, Award, 10 January 2005, paras 37–41; *Impregilo v Pakistan*, Decision on Jurisdiction, 22 April 2005, paras 131–139.

[41] The Argentina–Germany BIT in its definition of 'national' refers to 'any legal person and any commercial or other company or association with or without legal personality'. The BIT between China and Laos refers in its definition of 'investor' to 'economic entities established in accordance with the laws and regulations of each contracting State'. The Tribunal in *Sanum v Laos*, Award on Jurisdiction, 13 December 2013, para 307, held that the concept of an economic entity under Chinese law 'may include entities that are engaged in economic activities but without separate legal personality'.

[42] *Autopista v Venezuela*, Decision on Jurisdiction, 27 September 2001, para 107. See also *SOABI v Senegal*, Decision on Jurisdiction, 1 August 1984, para 29.

[43] Energy Charter Treaty, Article 1(7)(a)(ii).

[44] *AES v Argentina*, Decision on Jurisdiction, 26 April 2005, paras 75–80; *ADC v Hungary*, Award, 2 October 2006, paras 332–362; *Rompetrol v Romania*, Decision on Jurisdiction, 18 April 2008, paras 71, 75–110; *KT Asia v Kazakhstan*, Award, 17 October 2013, paras 113–144; *Gold Reserve v Venezuela*, Award, 22 September 2014, paras 250–252; *Pac Rim v El Salvador*, Award, 14 October 2016, para 5.58.

[45] *Tokios Tokelės v Ukraine*, Decision on Jurisdiction, 29 April 2004. See also *Wena Hotels v Egypt*, Decision on Jurisdiction, 29 June 1999, 6 ICSID Reports 74, 79–84.

was a business enterprise established under the laws of Lithuania. But nationals of the Ukraine owned 99 per cent of its shares. Article 1(2)(b) of the Lithuania–Ukraine BIT defines the term 'investor,' with respect to Lithuania, as 'any entity established in the territory of the Republic of Lithuania in conformity with its laws and regulations'. The respondent argued that the claimant was not a genuine entity of Lithuania because it was owned and controlled by Ukrainian nationals. However, the majority of the Tribunal concluded that the claimant was an 'investor' of Lithuania under the BIT and a 'national of another Contracting State' under Article 25 of the ICSID Convention.[46]

In *Saluka v Czech Republic*,[47] the claimant was a legal person incorporated under the laws of the Netherlands. The respondent objected that Saluka was merely a shell company controlled by its Japanese owners. Under the Czech–Netherlands BIT, the definition of 'investor' in Article 1(b)(ii) includes 'legal persons constituted under the laws of [the Netherlands]'.[48] The Tribunal said:

> The Tribunal has some sympathy for the argument that a company which has no real connection with a State party to a BIT, and which is in reality a mere shell company controlled by another company which is not constituted under the laws of that State, should not be entitled to invoke the provisions of that treaty.[49]

Nevertheless, it found that the claimant was a Dutch company. It said:

> The Tribunal cannot in effect impose upon the parties a definition of "investor" other than that which they themselves agreed. That agreed definition required only that the claimant-investor should be constituted under the laws of (in the present case) The Netherlands, and it is not open to the Tribunal to add other requirements which the parties could themselves have added but which they omitted to add.[50]

Other treaties refer to the entity's seat or principal seat of business. For instance, the Argentina–Germany BIT refers to 'company' as a legal person 'having its seat in the territory of one of the Contracting Parties'.[51]

[46] At paras 21–71. The decision was accompanied by a forcefully worded dissenting opinion by the Tribunal's President.
[47] *Saluka v Czech Republic*, Partial Award, 17 March 2006.
[48] At paras 1, 73, 183–186, 197.
[49] At para 240.
[50] At para 241.
[51] For cases dealing with the meaning of seat see: *AFT v Slovakia*, Award, 5 March 2011, paras 213–227; *Tenaris v Venezuela I*, Award, 29 January 2016, paras 134–154, 165–227; *CEAC v Montenegro*, Award, 26 July 2016, paras 143–211; *Orascom v Algeria*, Award, 31 May 2017, paras 257–315; *Mera v Serbia*, Decision on Jurisdiction, 30 November 2018, paras 84–97.

Some treaties combine incorporation with seat.[52] Article I(2) of the Association of Southeast Asian Nations (ASEAN) Agreement[53] provides:

> The term 'company' of a Contracting Party shall mean a corporation, partnership or other business association, incorporated or constituted under the laws in force in the territory of any Contracting Party wherein the place of effective management is situated.

This provision was applied in *Yaung Chi Oo v Myanmar*.[54] The claimant was incorporated in Singapore, a party to the Agreement. The Tribunal examined additionally whether it was also effectively managed from Singapore.[55]

Some treaties go beyond formal requirements such as incorporation or seat. They require a bond of economic substance between the corporate investor and the State whose nationality it claims.[56] Such an economic bond may consist of effective control over the corporation by nationals of the State. Alternatively, it may consist of genuine economic activity of the company in the State.[57]

Under some treaties a controlling interest of nationals in a company is sufficient to establish corporate nationality.[58] In the BIT between the Netherlands and Venezuela, the definition of 'nationals' in Article 1(b) covers not just legal persons incorporated in the respective State but alternatively legal persons not so incorporated but 'controlled, directly or indirectly' by nationals of that State. In *Mobil v Venezuela*[59] the investment had been made by the Netherlands holding company through its 100 per cent owned subsidiaries in the United States and the Bahamas. The respondent contended that the Netherlands company did not, in fact, exercise genuine control over its subsidiaries. The Tribunal rejected this argument stating:

> In the present case, Venezuela Holdings (Netherlands) owns 100 % of the share capital of its two American subsidiaries, which in turn own 100 % of the share capital of the two Bahamas subsidiaries. Thus the share capital of Venezuela Holdings (Netherlands) in those subsidiaries makes it possible for it to exercise

[52] For instance, the BITs between Belgium and the Czech Republic, the BIT between Pakistan and Sweden and the BIT between Argentina and France. See *Total v Argentina*, Decision on Jurisdiction, 25 August 2006, para 57; *Alpha v Ukraine*, Award, 8 November 2010, paras 45–55, 333–345.

[53] ASEAN Agreement for the Promotion and Protection of Investments, 15 December 1987, (1987) 27 ILM 612.

[54] *Yaung Chi Oo v Myanmar*, Award, 31 March 2003.

[55] At paras 46–52.

[56] P Acconci, 'Determining the Internationally Relevant Link between a State and a Corporate Investor' (2004) 5 *JWIT* 139.

[57] *Mabco v Kosovo*, Decision on Jurisdiction, 30 October 2020, para 395.

[58] Eg the BIT between Moldova and the United States, see *Link-Trading v Moldova*, Final Award, 18 April 2002, para 54. BIT between Ecuador and France, see *Perenco v Ecuador*, Decision on Jurisdiction, 30 June 2011, para 49. BIT between Switzerland and Macedonia, see *Swisslion v Macedonia*, Award, 6 July 2012, paras 130–132.

[59] *Mobil v Venezuela*, Decision on Jurisdiction, 10 June 2010.

> control on them. The Tribunal does not have to consider whether or not such control was exercised in fact.[60]

In *Guardian Fiduciary v FYROM*,[61] the BIT between the Netherlands and FYROM included in its definition of 'nationals':

> legal persons not constituted under the law of that Contracting State but controlled, directly or indirectly, by natural persons as defined in (I) or by legal persons as defined in (II).

The Tribunal declined jurisdiction because the claimant, a company incorporated in New Zealand, was not, in fact, controlled by a Dutch entity. The Tribunal found that despite a Dutch entity's indirect legal ownership of the claimant, the BIT did not apply since there was no evidence that the Dutch entity had exercised actual control over the claimant.[62] The situation was complicated by a split in legal and beneficial ownership. Only the legal ownership led to the Dutch entity whereas the beneficial ownership ultimately led to a Marshall Islands entity.

Some treaties combine seat with 'a predominant interest of an investor'.[63] The BIT between Iran and Switzerland combines all of the above elements. It grants investor status to a legal entity that is established under the law of the State in question and has its seat there, provided it also has real economic activities in that country. Alternatively, the same BIT grants investor status to a legal entity not incorporated in that State if it is effectively controlled by natural or juridical persons of the State.[64] The definition of corporate investors in that BIT is as follows:

> (b) legal entities, including companies, corporations, business associations and other organisations, which are established under the law of that Contracting Party and have their seat, together with real economic activities, in the territory of that same Contracting Party;
> (c) legal entities not established under the law of that Contracting Party but effectively controlled by natural persons as defined in (a) above or by legal entities as defined in (b) above.

The Convention Establishing the Multilateral Investment Guarantee Agency (MIGA Convention) requires incorporation and seat or, alternatively, control. Under Article 13(a)(ii) a juridical person will qualify as an 'eligible investor' if:

60 At para 160. The Tribunal relied on a Protocol to the BIT which listed percentage of capital ownership as a relevant criterion for control.
61 *Guardian Fiduciary v FYROM*, Award, 22 September 2015.
62 At paras 126, 130–139.
63 Eg the BIT between Lithuania and Sweden.
64 Iran–Switzerland BIT, 1998, Article 1(1).

> such juridical person is incorporated and has its principal place of business in a member or the majority of its capital is owned by a member or members or nationals thereof, provided that such member is not the host country in any of the above cases;

In *Champion Trading v Egypt*,[65] the Tribunal applied the BIT between Egypt and the United States. That treaty, in its Article I(b), requires incorporation and control by nationals:

> (b) 'Company of a Party' means a company duly incorporated, constituted or otherwise duly organized under the applicable laws and regulations of a Party or its subdivisions in which (i) natural persons who are nationals of such Party... have a substantial interest.

The corporate claimant was incorporated in the United States but was owned by five individuals most of whom were dual Egyptian and US nationals. The Tribunal found that it had jurisdiction over the corporation since the BIT did not exclude dual nationals as controlling shareholders.[66]

In *Aguas del Tunari v Bolivia*,[67] the claimant was a legal person constituted under Bolivian law. It relied on the definition of 'national' in Article 1(b) of the Bolivia–Netherlands BIT which included legal persons incorporated in the host State but controlled by nationals of the other State. Aguas del Tunari argued that it was controlled by Netherlands corporations. Bolivia objected arguing that these Netherlands corporations were, in turn, controlled by a US corporation. The Tribunal found that the controlling Netherlands companies were more than just corporate shells set up to obtain jurisdiction over the dispute before it. Therefore, it found that the BIT's nationality requirements were fulfilled.[68]

4. A local company as a foreign investor

Host States often require that investments be made through locally incorporated companies. Normally, these local companies will not qualify as foreign investors and will hence not enjoy protection. But the ICSID Convention contains a specific provision to address the phenomenon of foreign investments made through corporations that are registered in the host State. Article 25(2)(b) of the ICSID Convention deals with juridical persons that are incorporated in the host State but

[65] *Champion Trading v Egypt*, Decision on Jurisdiction, 21 October 2003.
[66] At section 3.4.2.
[67] *Aguas del Tunari v Bolivia*, Decision on Jurisdiction, 21 October 2005.
[68] At paras 206–323.

are controlled by nationals of another State. These may be treated as foreign nationals on the basis of an agreement.

The relevant part of Article 25(2)(b) of the ICSID Convention provides:

> 'National of another Contracting State' means: … any juridical person which had the nationality of the Contracting State party to the dispute on that date and which, because of foreign control, the parties have agreed should be treated as a national of another Contracting State for the purposes of this Convention.

Tribunals have applied a twofold test to establish whether the requirements under Article 25(2)(b) of the ICSID Convention are met. The test has a subjective and an objective element: There must be an agreement to treat the local company as a foreign investor (subjective element). This agreement alone is not enough. It must be supported by actual foreign control (objective element).[69] Control would have to be exercised by a national of a State that is a party to the ICSID Convention.[70]

The agreement between the host State and the investor required by Article 25(2)(b) may be contained in a contract between the host State and the investor. Tribunals have been flexible on the form of the necessary agreement: the insertion of an ICSID arbitration clause into a contract with the local company was accepted as implying an agreement to treat the local company as a foreign national. Otherwise, the ICSID clause would not have made any sense.[71]

Most contemporary investment arbitrations are instituted not on the basis of consent given in a contract between the host State and the investor but on the basis of an offer of consent contained in a treaty.[72] In that situation there is often no opportunity for the parties to agree to treat a particular locally incorporated company as a foreign national. Therefore, some treaties provide in general terms that companies constituted in one State but controlled by nationals of the other State shall be treated as nationals of the other State for purposes of Article 25(2)(b).[73] The provision in the treaty that a local company, because of foreign control, would be treated as a national of another Contracting State is part of the terms of the offer of consent to jurisdiction made by the host State. When the offer to submit disputes

[69] *Klöckner v Cameroon*, Award, 21 October 1983, 2 ICSID Reports 15–16; *SOABI v Senegal*, Decision on Jurisdiction, 1 August 1984, paras 28–46; *LETCO v Liberia*, Interim Award on Jurisdiction, 24 October 1984, 2 ICSID Reports 352; *Autopista v Venezuela*, Decision on Jurisdiction, 27 September 2001, paras 105–134; *Millicom v Senegal*, Decision on Jurisdiction, 16 July 2010, para 109; *National Gas v Egypt*, Award, 3 April 2014, paras 130–133.

[70] *SOABI v Senegal*, Decision on Jurisdiction, 1 August 1984, paras 32–33.

[71] *Klöckner v Cameroon*, Award, 21 October 1983, 2 ICSID Reports 16; *LETCO v Liberia*, Decision on Jurisdiction, 24 October 1984, 2 ICSID Reports 349–353; *Millicom v Senegal*, Decision on Jurisdiction, 16 July 2010, paras 110–114; *AHS Niger and Menzies v Niger*, Decision on Jurisdiction, 13 March 2013, paras 136–148.

[72] See XII.7(c)–(d) below.

[73] See eg Article 26(7) ECT. See also R Dolzer and M Stevens, *Bilateral Investment Treaties* (1995) 142.

to ICSID is accepted by the investor, that provision becomes part of the consent agreement between the parties to the dispute.

In *Micula v Romania*,[74] the relevant BIT between Romania and Sweden provided in Article 7(3):

> For the purpose of this Article and Article 25(2)(b) of the said Washington Convention, any legal person which is constituted in accordance with the legislation of one Contracting Party and which, before a dispute arises, is controlled by an investor of the other Contracting Party, shall be treated as a legal person of the other Contracting Party.

The three corporate claimants in that case were incorporated in Romania but were controlled by Swedish nationals. It followed that under Article 25(2)(b) of the ICSID Convention and Article 7(3) of the BIT the corporate claimants were to be treated as Swedish nationals.[75]

In addition to the agreement to treat the local company as a foreign investor, there must also be foreign control. Sometimes treaties specify what is to be understood by control. In *Quiborax v Bolivia*,[76] the relevant BIT between Chile and Bolivia provided in Article X(4) that majority ownership of shares shall trigger Article 25(2)(b) of the ICSID Convention:

> For purposes of this Article, any legal person created in accordance with the laws of one of the Contracting Parties, and whose shares are majority-owned by investors of the other Contracting Party, shall be regarded, in accordance with Article 25.2).b) of the [ICSID] Convention, as a legal person of the other Contracting Party.

The corporate claimant, NMM, had been created under Bolivian law but was majority owned (51 per cent of the shares) by Chilean nationals. Therefore, the Tribunal decided that NMM was allowed to act as claimant in the arbitration.[77]

In *Vacuum Salt v Ghana*,[78] the claimant was incorporated in Ghana. An agreement between the parties contained an ICSID clause. The Tribunal accepted that the ICSID clause implied an agreement to treat the claimant as a foreign national. But it found that it had to examine the existence of foreign control as a separate requirement:

[74] *Micula v Romania I*, Decision on Jurisdiction and Admissibility, 24 September 2008.
[75] At paras 107–116.
[76] *Quiborax v Bolivia*, Decision on Jurisdiction, 27 September 2012.
[77] At para 195.
[78] *Vacuum Salt v Ghana*, Award, 16 February 1994.

> the parties' agreement to treat Claimant as a foreign national 'because of foreign control' does not *ipso jure* confer jurisdiction. The reference in Article 25(2)(b) to 'foreign control' necessarily sets an objective Convention limit beyond which ICSID jurisdiction cannot exist . . . .[79]

An examination of the facts revealed that there was no foreign control. Therefore, the Tribunal declined jurisdiction.[80]

Majority share ownership will normally be sufficient to establish control.[81] There will, however, be no foreign control if a local company is owned by intermediary shell companies of another ICSID Contracting Party, that are ultimately owned by nationals or companies of the host State.[82] The same applies to control by a dual national who is a national of the host State.[83] Control by way of several layers of control culminating in ownership by a national of another Contracting State fulfils the requirement of Article 25(2)(b).[84]

In *Caratube v Kazakhstan*,[85] a case brought under the US–Kazakhstan BIT, the Tribunal required actual control over the local company despite the foreign investor's nominal ownership of 92 per cent of the shares in the investment:

> there is not sufficient evidence of exercise of actual control over CIOC by Devincci Hourani. In view of the above considerations, the Tribunal concludes that Claimant has not provided sufficient proof for control as required by Art. 25(2)(b) of the ICSID Convention. The Tribunal is not satisfied that a legal capacity to control a company, without evidence of an actual control, is enough in light of Devincci Hourani's characterisation of his purported investment in CIOC.[86]

In a second arbitration,[87] brought under a concession contract and the Kazakhstan Foreign Investment Law, the Tribunal stated that the 92 per cent share ownership created a presumption of foreign control that the respondent had been unable to rebut.[88]

Control over a juridical person is not a simple phenomenon. Participation in the company's capital stock or share ownership is not the only indicator of control.

79 At para 36.
80 At paras 35–55.
81 *Levy and Gremcitel v Peru*, Award, 9 January 2015, para 171.
82 *TSA Spectrum v Argentina*, Award, 19 December 2008, paras 147–162; *National Gas v Egypt*, Award, 3 April 2014, paras 133–149.
83 *Burimi v Albania*, Award, 29 May 2013, para 121.
84 *United Utilities v Estonia*, Award, 21 June 2019, paras 442–446; *Eyre and Montrose v Sri Lanka*, Award, 5 March 2020, para 266.
85 *Caratube v Kazakhstan*, Award, 5 June 2012.
86 At para 407.
87 *Caratube and Hourani v Kazakhstan*, Award, 27 September 2017.
88 At paras 470–473, 611, 622–623.

The existence of foreign control is a complex question requiring the examination of several factors such as equity participation, voting rights, and management.[89]

In *United Utilities v Estonia*,[90] the Tribunal had to determine whether the local company was controlled by a foreign investor who only held a minority stake. The Tribunal determined that the foreign investor had effective influence over operational control through its management and therefore controlled the local company.[91]

5. Nationality planning

The foregoing sections suggest that a prudent investor may organize its investment in a way that affords maximum protection under existing treaties. Most often this will be done by establishing a company in a State that has favourable treaty relations with the host State and accepts incorporation as a basis for corporate nationality. That company will then be used as a conduit for the investment. Nationality planning or 'treaty shopping' is not illegal or unethical as such.[92] But practice demonstrates that there are limits to it. In addition, States may regard corporate structuring for the purpose of obtaining advantages from treaties as undesirable and take appropriate measure against it.

In *Aguas del Tunari v Bolivia*,[93] the respondent asserted that the strategic changes in the corporate structure to obtain the protection of a BIT rose to the level of fraud and abuse of corporate form. The Tribunal accepted the 'migration' of the controlling company from one country to another and rejected this contention.[94] It said:

> It is not uncommon in practice, and—absent a particular limitation—not illegal to locate one's operations in a jurisdiction perceived to provide a beneficial regulatory and legal environment in terms, for examples, of taxation or the substantive law of the jurisdiction, including the availability of a BIT… The language of the definition of national in many BITs evidences that such national routing of

[89] *Vacuum Salt v Ghana*, Award, 16 February 1994, paras 43–53; *Aguas del Tunari v Bolivia*, Decision on Jurisdiction, 21 October 2005, paras 225–248, 264–323; *Vento v Mexico*, Award, 6 July 2020, paras 221–224; *Eskosol v Italy*, Award, 4 September 2020, paras 224–238.

[90] *United Utilities v Estonia*, Award, 21 June 2019.

[91] At paras 375–420.

[92] *Mobil v Venezuela*, Decision on Jurisdiction, 10 June 2010, para 204; *HICEE v Slovakia*, Partial Award, 23 May 2011, para 103; *Tidewater v Venezuela*, Decision on Jurisdiction, 8 February 2013, para 184; *Levy and Gremcitel v Peru*, Award, 9 January 2015, para 184; *MNSS v Montenegro*, Award, 4 May 2016, para 182; *Bridgestone v Panama*, Decision on Expedited Objections, 13 December 2017, para 161; *Mera v Serbia*, Decision on Jurisdiction, 30 November 2018, para 153.

[93] *Aguas del Tunari v Bolivia*, Decision on Jurisdiction, 21 October 2005.

[94] At paras 160–180.

> investments is entirely in keeping with the purpose of the instruments and the motivations of the state parties.[95]

Not every attempt at nationality planning will succeed. In *Banro v Congo*,[96] a transfer of the ownership of the investment was carried out from a company registered in a non-ICSID party, Canada,[97] to an affiliate company in the United States, a party to the ICSID Convention. The transfer was made after the dispute had arisen and only days before the institution of the arbitration proceedings. It served the obvious purpose to obtain access to ICSID. The Tribunal refused to accept jurisdiction under these circumstances.[98]

In *Phoenix v Czech Republic*,[99] there was originally a dispute between the Czech State and a Czech investor. Most of the incriminated facts had occurred and the dispute was in full swing when the Czech investor tried to acquire a seemingly convenient nationality by selling the investment to an Israeli company, Phoenix, which he had established especially for that purpose. Shortly after the transfer, Phoenix commenced ICSID arbitration, relying on the BIT between Israel and the Czech Republic. The Tribunal found that the claim constituted an abusive attempt to get access to the system of investment protection under the ICSID Convention. The claimant had made an investment not for the purpose of engaging in economic activity but for the sole purpose of bringing international litigation against the Czech Republic.[100]

In *Cementownia v Turkey*,[101] the claimant was a Polish company that claimed to have acquired shares of two Turkish companies. The alleged share transfers took place just 12 days before Turkey terminated concession agreements thereby, it was argued, violating its treaty obligations under the ECT. The Tribunal found that the entire share transaction between the Turkish company and the Polish claimant was fabricated and had never actually taken place.[102] The Tribunal added:

> Even if they did occur, the share transfers would not have been *bona fide* transactions, but rather attempts (in the face of government measures dating back some years about to culminate in the concessions' termination) to fabricate international jurisdiction where none should exist.[103]

[95] At paras 330, 332.
[96] *Banro v Congo*, Award, 1 September 2000.
[97] Canada has since become a party to the ICSID Convention in 2013.
[98] But see *Autopista v Venezuela*, Decision on Jurisdiction, 27 September 2001, paras 80–140. In that case the Respondent State had consented to the transfer of the shares from Mexican to US nationals. At the time, Mexico was not a party to the ICSID Convention.
[99] *Phoenix v Czech Republic*, Award, 15 April 2009.
[100] At paras 142–145. See also *Transglobal v Panama*, Award, 2 June 2016, paras 103, 118.
[101] *Cementownia v Turkey*, Award, 17 September 2009.
[102] At para 156.
[103] At para 117.

In *Mobil v Venezuela*,[104] the investments had been made by Exxon Mobil through holding companies in Delaware and the Bahamas. After difficulties had arisen with the new Venezuelan government over royalties and income taxes,[105] Exxon Mobil restructured its investment by interposing a Netherlands holding company. Mobil informed the Venezuelan government of this step which did not raise any objection. As a consequence of the restructuring, the Delaware and Bahamian companies thereby became 100 per cent owned subsidiaries of the Dutch company.[106] After Mobil had completed its restructuring, Venezuela took nationalisation measures. Thereupon, Mobil instituted ICSID arbitration relying on the BIT between the Netherlands and Venezuela. Despite Venezuela's protestations, the Tribunal found that this form of corporate structuring was permissible. The Tribunal said:

> 204. . . . the aim of the restructuring of their investments in Venezuela through a Dutch holding was to protect those investments against breaches of their rights by the Venezuelan authorities by gaining access to ICSID arbitration through the BIT. The Tribunal considers that this was a perfectly legitimate goal as far as it concerned future disputes.
> 205. With respect to pre-existing disputes, the situation is different and the Tribunal considers that to restructure investments only in order to gain jurisdiction under a BIT for such disputes would constitute, to take the words of the Phoenix Tribunal, 'an abusive manipulation of the system of international investment protection under the ICSID Convention and the BITs'.

Other cases confirm that prospective planning will be accepted by tribunals.[107] 'Prospective' means that the corporate arrangements were in place before the facts that led to the dispute occurred or at any rate before the dispute arose. On the other hand, where there was an existing or a foreseeable specific dispute, tribunals found it abusive and declined jurisdiction where an investor, who was not protected by an investment treaty, had restructured its investment in such a fashion as to obtain the protection of a treaty.[108]

[104] *Mobil v Venezuela*, Decision on Jurisdiction, 10 June 2010.

[105] At paras 200, 201.

[106] At paras 187–192. Under the BIT between the Netherlands and Venezuela not only companies incorporated in the Netherlands but also Companies controlled by Dutch incorporated companies are deemed to be nationals of the Netherlands.

[107] *Société Générale v Dominican Republic*, Award on Jurisdiction, 19 September 2008, paras 109–110; *Millicom v Senegal*, Decision on Jurisdiction, 16 July 2010, para 84; *ConocoPhillips v Venezuela*, Decision on Jurisdiction and Merits, 3 September 2013, paras 268–281; *Gold Reserve v Venezuela*, Award, 22 September 2014, paras 247–252, 270; *MNSS v Montenegro*, Award, 4 May 2016, paras 180–183; *Mera v Serbia*, Decision on Jurisdiction, 30 November 2018, paras 151–154.

[108] *Pac Rim v El Salvador*, Decision on Jurisdiction, 1 June 2012, para 2.99; *Tidewater v Venezuela*, Decision on Jurisdiction 8 February 2013, paras 146–148, 184, 194–196; *ST-AD v Bulgaria*, Award on Jurisdiction, 18 July 2013, paras 419, 423; *Levy and Gremcitel v Peru*, Award, 9 January 2015, paras 182, 185; *Philip Morris v Australia*, Award on Jurisdiction and Admissibility, 17 December 2015, paras 539, 545, 585.

6. Denial of benefits

States have devised methods to counteract strategies of investors that seek the protection of particular treaties by acquiring favourable nationalities. One such method is to require a bond of economic substance between the corporation and the State. This method is described above.[109] Another method is the insertion of a so-called denial of benefits clause into the treaty that provides consent to jurisdiction. Under such a clause, the States reserve the right to deny the benefits of the treaty to a company that is owned or controlled by nationals of a third country but is incorporated in a State Party to the treaty without having an economic connection to that State. The economic connection would consist of substantial business activities in the State of incorporation or ownership or control by a national of a State Party to the treaty.

Denial of benefits provisions of treaties show some variation.[110] Article I(2) of the Argentina–US BIT (1991) provides:

> Each Party reserves the right to deny to any company of the other Party the advantages of this Treaty if (a) nationals of any third country, or nationals of such Party, control such company and the company has no substantial business activities in the territory of the other Party, or (b) the company is controlled by nationals of a third country with which the denying Party does not maintain normal economic relations.

The ECT in Article 17(1) has the following denial of benefits clause:

> Each Contracting Party reserves the right to deny the advantages of this Part to:
> (1) a legal entity if citizens or nationals of a third state own or control such entity and if that entity has no substantial business activities in the Area of the Contracting Party in which it is organized . . . .

The provision in the ECT is unusual in that it refers to a denial of the benefits of only the substantive standards contained in Part III and not to dispute settlement in Part V.

The most important questions raised by denial of benefits clauses are: is the denial of benefits an issue of jurisdiction, admissibility, or merits? When does the right have to be exercised by the host State? How does it have to be exercised and

[109] At III.3.
[110] NAFTA Article 1113; USMCA Article 14.14; United States Model BIT (2012) Article 17; Austria–Jordan BIT (2001) Article 10. Some treaties do not mention economic relations with a third country: Australia–Czech Republic BIT (1993) Article 2(2).

does the exercise operate retrospectively or only prospectively? The answers given by tribunals to these questions have not been uniform.

Tribunals operating under the ECT have decided that the denial of benefits clause is not an issue of jurisdiction. Since the clause in the ECT refers to a denial of substantive advantages but not to dispute settlement, tribunals have treated the denial of benefits as a merits issue[111] or a question of admissibility.[112] By contrast, tribunals operating under treaties containing denial of benefits clauses that were not restricted to substantive standards, found them to be an issue of jurisdiction.[113]

Tribunals have held that a denial of benefits clause does not operate automatically but had to be exercised actively.[114] An example for this approach can be found in *Plama v Bulgaria*.[115] The claimant was incorporated in Cyprus. After the arbitration proceedings had been instituted, Bulgaria sent a letter to ICSID purporting to exercise its right under the ECT's denial of benefits clause. Bulgaria argued that Plama had no substantial business activities in Cyprus and was controlled by nationals of States not parties to the ECT. The Tribunal found that the denial of benefits clause was drafted in permissive terms and did not operate automatically but required its actual exercise by the host State.[116]

The conditions for the denial of benefits must be met at the time of commencement of proceedings.[117] The burden of proof for the existence of the conditions for a denial of benefits is with the respondent State invoking it.[118] In *AMTO v Ukraine*,[119] the claimant was incorporated in Latvia, a party to the ECT. Ukraine objected to the Tribunal's jurisdiction based on the denial of benefits clause in Article 17(1) of the ECT. The Tribunal noted that the concept of a 'third state' under that provision meant a State that is not a Contracting Party to the ECT.[120] The burden of proof relating to the requirements of Article 17(1) of the ECT lay with the respondent State

[111] *Plama v Bulgaria*, Decision on Jurisdiction, 8 February 2005, paras 148–151; *Hulley v Russian Federation*, Interim Award on Jurisdiction and Admissibility, 30 November 2009, para 440; *Khan v Mongolia*, Decision on Jurisdiction, 25 July 2012, para 411; *Stati v Kazakhstan*, Award, 19 December 2013, para 745; see also: *Empresa Eléctrica v Ecuador*, Award, 2 June 2009, para 71, which is based on the US–Ecuador BIT.

[112] *Isolux v Spain*, Award, 12 July 2016, para 711.

[113] *Ulysseas v Ecuador*, Interim Award, 28 September 2010, para 172; *Pac Rim v El Salvador*, Decision on Jurisdictional Objections, 1 June 2012, para 4.4; *Guaracachi v Bolivia*, Award, 31 January 2014, paras 372–373; *Bridgestone v Panama*, Decision on Expedited Objections, 13 December 2017, para 288.

[114] *Hulley v Russian Federation*, Interim Award on Jurisdiction and Admissibility, 30 November 2009, para 455; *Khan v Mongolia*, Decision on Jurisdiction, 25 July 2012, para 419; *Stati v Kazakhstan*, Award, 19 December 2013, para 745.

[115] *Plama v Bulgaria*, Decision on Jurisdiction, 8 February 2005.

[116] At paras 157–158. See also in the same case: Award, 27 August 2008, paras 79–95.

[117] *Ulysseas v Ecuador*, Interim Award, 28 September 2010, para 174; *Ampal-American v Egypt*, Decision on Jurisdiction, 1 February 2016, paras 168, 171.

[118] *Ulysseas v Ecuador*, Interim Award, 28 September 2010, para 166; *Liman Caspian v Kazakhstan*, Award, 22 June 2010, para 164.

[119] *AMTO v Ukraine*, Final Award, 26 March 2008.

[120] At para 62. See also *Libananco v Turkey*, Award, 2 September 2011, paras 549–556.

invoking it.[121] In view of the Tribunal's finding that AMTO had a substantial business activity in Latvia there was no need to determine ownership and control.[122] The Tribunal said with respect to the requirement of 'substantial business activities' under Article 17(1) of the ECT:

> the purpose of Article 17(1) is to exclude from ECT protection investors which have adopted a nationality of convenience. Accordingly, 'substantial' in this context means 'of substance, and not merely of form'. It does not mean 'large', and the materiality not the magnitude of the business activity is the decisive question. In the present case, the Tribunal is satisfied that the Claimant has substantial business activity in Latvia, on the basis of its investment related activities conducted from premises in Latvia, and involving the employment of a small but permanent staff.[123]

Another disagreement concerns the time at which the State must exercise the right to deny benefits. The decision whether the denial has retrospective or only prospective effect is closely related to the answer to this question. Tribunals have indicated four different points in time for the exercise of a denial of benefits. The most investor-friendly tribunals decided that a host State must deny benefits already before the investor makes the investment since the investor needs to know beforehand whether the investment will be protected.[124] The Tribunal in *Plama v Bulgaria*[125] stated in this respect:

> The covered investor enjoys the advantages of Part III unless the host state exercises its right under Article 17(1) ECT; and a putative covered investor has legitimate expectations of such advantages until that right's exercise. A putative investor therefore requires reasonable notice before making any investment in the host state whether or not that host state has exercised its rights under Article 17(1) ECT.[126]

Other tribunals found that the host State could exercise its right to deny benefits until a dispute had arisen.[127] However, a number of tribunals, operating under BITs or the Central American Free Trade Agreement (CAFTA), found that it was

[121] At para 64. See also *Bridgestone v Panama*, Decision on Expedited Objections, 13 December 2017, para 289.

[122] At paras 67–70.

[123] At para 69. This position was adopted in *Masdar v Spain*, Award, 16 May 2018, paras 252–256 and in *9REN v Spain*, Award, 31 May 2019, para 181.

[124] *Khan v Mongolia*, Decision on Jurisdiction, 25 July 2012, paras 425–431.

[125] *Plama v Bulgaria*, Decision on Jurisdiction, 8 February 2005.

[126] At para 161.

[127] *Stati v Kazakhstan*, Award, 19 December 2013, para 745; *Isolux v Spain*, Award, 12 July 2016, para 715.

early enough to invoke the right to deny benefits once the benefits are claimed by the investor.[128] The Tribunal in *Ulysseas v Ecuador* stated as follows:

> The first question concerns whether there is a time-limit for the exercise by the State of the right to deny the BIT's advantages… Nothing in Article I(2) of the BIT excludes that the right to deny the BIT's advantages be exercised by the State at the time when such advantages are sought by the investor through a request for arbitration.[129]

The Tribunal in *Gran Colombia v Colombia*,[130] held that Article 814(2) of the Canada–Columbia FTA does not contain a temporal restriction for the invocation of the denial of benefits clause. It stated that the applicable deadline in cases governed by the ICSID Convention is the date when the respondent's counter-memorial is due. The Tribunal found that Colombia had complied with this condition since it had invoked the denial of benefits clause one day after receipt of the claimant's request for arbitration.[131]

The same disagreement among tribunals exists on whether the exercise of the denial of benefits merely has a prospective effect or also a retroactive effect. Tribunals under the ECT have opted for a prospective effect only.[132] The Tribunal in *Plama v Bulgaria*[133] said:

> the object and purpose of the ECT suggest that the right's exercise should not have retrospective effect. A putative investor, properly informed and advised of the potential effect of Article 17(1), could adjust its plans accordingly prior to making its investment. If, however, the right's exercise had retrospective effect, the consequences for the investor would be serious. The investor could not plan in the 'long term' for such an effect (if at all); and indeed such an unexercised right could lure putative investors with legitimate expectations only to have those expectations made retrospectively false at a much later date.[134]

[128] *Pac Rim v El Salvador*, Decision on Jurisdiction, 1 June 2012, para 4.85; *Guaracachi v Bolivia*, Award, 31 January 2014, para 376; *NextEra v Spain*, Decision on Jurisdiction, Liability and Quantum Principles, 12 March 2019, paras 262–271.

[129] *Ulysseas v Ecuador*, Interim Award, 28 September 2010, para 172. Footnote omitted.

[130] *Gran Colombia v Colombia*, Decision on the Bifurcated Jurisdictional Issue, 23 November 2020.

[131] At para 131.

[132] *Hulley v Russian Federation*, Interim Award on Jurisdiction and Admissibility, 30 November 2009, para 457; *Liman Caspian v Kazakhstan*, Award, 22 June 2010, para 225; *Khan v Mongolia*, Decision on Jurisdiction, 25 July 2012, paras 426–429; *Stati v Kazakhstan*, Award, 19 December 2013, para 745; *Isolux v Spain*, Award, 12 July 2016, para 715; *Masdar v Spain*, Award, 16 May 2018, paras 231–250. See also: *Ampal-American v Egypt*, Decision on Jurisdiction, 1 February 2016, para 170.

[133] *Plama v Bulgaria*, Decision on Jurisdiction, 8 February 2005.

[134] At para 162.

Tribunals opting for the retrospective effect of a denial of benefits clause have held that the offer of consent to arbitration was conditional and the conditions for consent were not fulfilled.[135] In *Guaracachi v Bolivia*,[136] the Tribunal said in this regard:

> Whenever a BIT includes a denial of benefits clause, the consent by the host State to arbitration itself is conditional and thus may be denied by it, provided that certain objective requirements concerning the investor are fulfilled. All investors are aware of the possibility of such a denial, such that no legitimate expectations are frustrated by that denial of benefits.[137]

7. An active investor?

Some tribunals have subscribed to the idea that the mere holding of assets that met the definition of an investment is not sufficient. Under this theory, passive ownership of an investment would not bestow the status of an investor.[138] Based on words such as 'made', 'by', 'of', and 'invested', some tribunals have found that the investor had to make some active contribution to be protected by the relevant treaty.[139]

In *Standard Chartered Bank v Tanzania*,[140] the UK claimant sought the benefits of a loan owed to a Hong Kong entity which it owned. The BIT between the United Kingdom and Tanzania referred to 'investments of [a UK company]', 'investments by investors', and 'investments made'. The Tribunal concluded that the BIT protected only investors that had made investments in some active way, rather than simple passive ownership.[141] It held:

> the Tribunal interprets the BIT to require an active relationship between the investor and the investment. To benefit from Article 8(1)'s arbitration provision, a claimant must demonstrate that the investment was made at the claimant's direction, that the claimant funded the investment or that the claimant controlled the investment in an active and direct manner. Passive ownership of shares in a company not controlled by the claimant where that company in turn owns the investment is not sufficient.

[135] *Ulysseas v Ecuador*, Interim Award, 28 September 2010, para 172; *Pac Rim v El Salvador*, Decision on Jurisdiction, 1 June 2012, para 4.90.

[136] *Guaracachi v Bolivia*, Award, 31 January 2014.

[137] At para 372.

[138] C Schreuer, 'The Active Investor' in E Bylander et al (eds) *Forward! Essays in Honour of Prof Dr Kaj Hobér* (2019) 237.

[139] *Caratube v Kazakhstan*, Award, 5 June 2012, paras 408–467.

[140] *Standard Chartered Bank v Tanzania*, Award, 2 November 2012, paras 206–232.

[141] At para 225.

> 231. The Tribunal is not persuaded that an 'investment of' a company or an individual implies only the abstract possession of shares in a company that holds title to some piece of property.
> 232. Rather, for an investment to be 'of' an investor in the present context, some activity of investing is needed, which implicates the claimant's control over the investment or an action of transferring something of value (money, know-how, contacts, or expertise) from one treaty-country to the other.[142]

In *KT Asia v Kazakhstan*,[143] the purported investment was a transfer between two foreign companies of shares in a Kazakh bank without any injection of a contribution of economic value. The two foreign companies belonged to the same individual. The Tribunal concluded that no investment had been made since there was neither any contribution nor any economic risk in this operation.[144] In particular, the Tribunal found:

> the Tribunal considers that KT Asia has made no contribution with respect to its alleged investment, nor is there any evidence on record that it had the intention or the ability to do so in the future. As a consequence, the Claimant has not demonstrated the existence of an investment under Article 25(1) of the ICSID Convention and under the BIT.[145]

In other cases, tribunals were either confronted with similar arguments[146] or seemed to support the idea that the role of an investor required more than ownership.[147]

A theory that requires an active contribution by each investor as a requirement for protection would require that every shareholder plays an active role in the investment. This would seriously undermine the position of shareholders as investors.[148] Moreover, this theory leads to the unsatisfactory result that a person who has not been involved in the making of an investment but acquires an existing investment does not enjoy the status of an investor.

A larger and weightier group of authorities suggest that the current owner of the assets is not required to have made an active contribution to qualify as an investor. To some extent, this debate hinges on the exact wording of the treaty in question. For instance, the ECT in its definition of investment in Article 1(6) does not refer

[142] At paras 230–232.
[143] *KT Asia v Kazakhstan*, Award, 17 October 2013.
[144] At paras 166–206.
[145] At para 206.
[146] *Gallo v Canada*, Award, 15 September 2011, para 145; *Mason v Korea*, Decision on Preliminary Objections, 22 December 2019, paras 197–203.
[147] *Quiborax v Bolivia*, Decision on Jurisdiction, 27 September 2012, paras 232–233; *OI European v Venezuela*, Award, 10 March 2015, paras 248–254; *Vestey v Venezuela*, Award, 15 April 2016, para 192.
[148] See IV.4(c) below.

to investments 'of' or 'by' an investor but refers to 'every kind of asset, owned or controlled directly or indirectly by an investor'.[149] This would clearly cover passive shareholding. Tribunals have found that investors who simply owned assets qualified as investors.[150]

Even without clear language to that effect, tribunals have held that mere ownership or control will be sufficient for the status of an investor. In *Levy v Peru*,[151] a father had transferred shares to his daughter free of charge. Peru argued that the resulting share ownership did not make the daughter an investor. The Tribunal disagreed:

> It is clear that the Claimant acquired her rights and shares free of charge. However, this does not mean that the persons from whom she acquired these shares and rights did not previously make very considerable investments of which ownership was transmitted to the Claimant by perfectly legitimate legal instruments.[152]

Other tribunals have similarly found that persons who passively held their investments qualified as investors.[153]

Similarly, the acquisition of assets in the context of corporate restructuring satisfies the condition of making an investment. This applies, for instance, when a company acquires another company that had previously been granted a concession. In *Gold Reserve v Venezuela*,[154] the Canada–Venezuela BIT referred to 'any enterprise … who makes the investment in the territory of Venezuela'. The Tribunal rejected the respondent's suggestion that the word 'makes' required some active step of the current owner.[155] The Tribunal concluded:

> there is no support in previous cases for contentions pertaining to a lack of investment as a result of (1) the parent company entering the structure after the concession had been granted; (2) the parent company being inserted as a result of an internal corporate restructure; or (3) the new parent company being incorporated in a jurisdiction with a BIT which has previously not been relevant.[156]

[149] On the other hand, Article 26(1) of the ECT, dealing with dispute settlement, speaks of an investment *of* an investor.

[150] *Saluka v Czech Republic*, Partial Award, 17 March 2006, para 211; *Phoenix v Czech Republic*, Award, 15 April 2009, para 119; *Veteran Petroleum v Russian Federation*, Interim Award on Jurisdiction and Admissibility, 30 November 2009, para 477; *Ryan v Poland*, Award, 24 November 2015, para 207; *Garanti Koza v Turkmenistan*, Award, 19 December 2016, paras 228–231; *Orascom v Algeria*, Award, 31 May 2017, para 384; *South American Silver v Bolivia*, Award, 22 November 2018, para 331; *Strabag v Libya*, Award, 29 June 2020, paras 118–119.

[151] *Levy v Peru*, Award, 26 February 2014.

[152] At para 148.

[153] *Mytilineos v Serbia and Montenegro*, Partial Award on Jurisdiction, 8 September 2006, paras 128–135; *von Pezold v Zimbabwe*, Award, 28 July 2015, paras 312–313; *Orascom v Algeria*, Award, 31 May 2017, para 384.

[154] *Gold Reserve v Venezuela*, Award, 22 September 2014.

[155] At paras 229–272.

[156] At para 270.

Tribunals have held that to become an investor it was sufficient to acquire an existing investment.[157] In *MNSS v Montenegro*,[158] the respondent disputed that the assignee of a loan could be regarded as an investor. It relied on several provisions of the Netherlands–Yugoslavia BIT all referring to an investment 'made'.[159] The Tribunal said:

> The fact that RCA was not an active investor because of the activity connotation of the expression 'making an investment', as argued by the Respondent, does not mean that an investor, once a loan is made or equity in a company is acquired, needs to make further investments or be particularly active in the management of the investment.[160]

It follows from these authorities that the preponderant view is that mere ownership or control of the investment will suffice to bestow the status of an investor. In other words, according to the majority view, it seems that an active contribution by the current owner of the assets is not required.

[157] *Flemingo v Poland*, Award, 12 August 2016, paras 321–324; *Kim v Uzbekistan*, Decision on Jurisdiction, 8 March 2017, paras 306–314; *Mera v Serbia*, Decision on Jurisdiction, 30 November 2018, paras 106–108.

[158] *MNSS v Montenegro*, Award, 4 May 2016.

[159] At para 126.

[160] At para 204.

IV
Investment

ADDITIONAL READING: R Dolzer, *Eigentum, Enteignung und Entschädigung im geltenden Völkerrecht* (1985); S Alexandrov, 'The "Baby Boom" of Treaty-Based Arbitrations and the Jurisdiction of ICSID Tribunals: Shareholders as "Investors" under Investment Treaties' (2005) 6 *JWIT* 387; R Dolzer, 'The Notion of Investment in Recent Practice' in S Charnovitz et al (eds) *Law in the Service of Human Dignity: Essays in Honour of Florentino Feliciano* (2005) 261; A Carlevaris, 'The Conformity of Investments with the Law of the Host State and the Jurisdiction of International Tribunals' (2008) 9 *JWIT* 35; N Rubins, 'The Notion of "Investment" in International Investment Arbitration' in N Horn (ed) *Arbitrating Foreign Investment Disputes* (2004) 283; U Kriebaum, *Eigentumsschutz im Völkerrecht* (2008); M Hwang, 'Recent Developments in Defining "Investment"' (2010) 24 *ICSID Rev* 2; U Kriebaum, 'Illegal Investments' (2010) 4 *Austrian YB Int Arb* 307; SW Schill, 'Illegal Investments in Investment Treaty Arbitration' (2012) 11 *LPICT* 281; Z Douglas, 'The Plea of Illegality in Investment Treaty Arbitration' (2014) 29 *ICSID Rev* 155; K Diel-Gligor and R Hennecke, 'Investment in Accordance with the Law' in M Bungenberg et al (eds) *International Investment Law* (2015) 566; E Gaillard and Y Banifatemi, 'The Long March towards a *Jurisprudence Constante* on the Notion of Investment' in M Kinnear et al (eds) *Building International Investment Law* (2015) 97; JA Bischoff and R Happ, 'The Notion of Investment' in M Bungenberg et al (eds) *International Investment Law* (2015) 495; C Knahr, 'The Territorial Nexus between an Investment and the Host State' in Bungenberg et al (eds) *International Investment Law* (2015) 590; K Yannaca-Small and D Katsikis, 'The Meaning of "Investment" in Investment Treaty Arbitration' in K Yannaca-Small (ed) *Arbitration under International Investment Agreements* (2018) 11.1; L Vanhonnaeker, *Shareholders' Claims for Reflective Loss in International Investment Law* (2020); S Klopschinski et al, *The Protection of Intellectual Property Rights under International Investment Law* (2021); SW Schill et al (eds), *Schreuer's Commentary on the ICSID Convention*, 3rd edn (2022) Article 25, paras 162–496; C Schreuer, 'The Unity of an Investment' (2021) 19 *ICSID Reports* 3; M Waibel, 'Subject-Matter Jurisdiction: the Notion of Investment'(2021) 19 *ICSID Reports* 25.

1. Terminology and concept

Economists distinguish between different types of investments: direct investments involve the transfer of funds, a longer-term project, the aim of regular income, the participation of the person transferring the funds, at least to some extent, in the management of the project, and a business risk. These elements distinguish foreign direct investment from a portfolio investment in which there is no element of personal management. Both types of investment differ from ordinary transactions for purposes of sales of goods or services and from short-term financial transactions.

Traditional treaties of friendship, commerce, and navigation (FCN), treaties to settle claims after hostilities, and human rights documents use the classical description 'property, rights, and interests'. By contrast, contemporary treaties use the modern term 'investment'.[1] This usage is now fully accepted. While the use of 'investment' is convenient, it also presents the challenge of defining the term to make it legally manageable and operational.

Treaties use the term 'investment' in three contexts. The first context is investment as object of protection *ratione materiae*. For example, Article 2 (2) of the UK Model BIT provides:

> **Investments** of nationals or companies of each Contracting Party shall ... be accorded fair and equitable treatment ...[2]

The second context is a reference in the formulas on consent to arbitration. For example, Article 10 of the German Model Treaty provides:

> (1) Disputes concerning **investments** between a Contracting State and an investor of the other contracting State should as far as possible be settled amicably between the parties to the dispute ...
> (2) If the dispute cannot be settled with ..., it shall, ... be submitted to arbitration.[3]

The third context is investment as a jurisdictional requirement under the ICSID Convention. Article 25 of the ICSID Convention provides:

[1] In French treaties: 'investissements'; in Spanish treaties: 'inversiones'; in German treaties: 'Kapitalanlagen'; in Austrian treaties: 'Investitionen'.

[2] UK Model BIT (2005) Article 2(2).

[3] German Model Treaty (2008) Article 10.

(1) The jurisdiction of the Centre shall extend to any legal dispute arising directly out of an **investment** . . . .

In practice, two conceptual approaches have been developed to give legal meaning to the term 'investment'. The first approach is to offer specific elaborate definitions in bilateral and multilateral treaties, usually at the beginning of the operative part. The second approach, adopted for example in the ICSID Convention, does not provide for a definition of 'investment' but leaves the interpretation and application of this term to the practice of States and tribunals.

In a particular situation, the first approach to establishing the meaning of 'investment' is to look at the definitions in investment treaties.[4] Since this leads to a definition by agreement, it is called the subjective approach. The second approach seeks to establish a general concept of the term 'investment'. Since this is independent of the parties' perspectives, it is called the objective approach. Tribunals often use this objective approach when interpreting the meaning of the term 'investment' in Article 25 of the ICSID Convention.[5]

Cases involving ICSID arbitration typically require two separate examinations of the existence of an 'investment': one under the instrument providing for consent to arbitration (BIT, national law, contract), the other under Article 25 of the ICSID Convention. This is often referred to as the double keyhole approach or double-barrelled test,[6] since the transaction at issue must fit both the definition of the consent instrument and the general concept applied to the ICSID Convention.

[4] *Gruslin v Malaysia II*, Award, 27 November 2000, para 13.6; *ATA v Jordan*, Award, 18 May 2010, para 111; *Al Tamimi v Oman*, Award, 3 November 2015, paras 275–280; *Garanti Koza v Turkmenistan*, Award, 19 December 2016, paras 235–242; *Tethyan Copper v Pakistan*, Decision on Jurisdiction and Liability, 10 November 2017, para 571.

[5] *CSOB v Slovakia*, Decision on Jurisdiction, 24 May 1999, para 68; *Salini v Morocco*, Decision on Jurisdiction, 16 July 2001, paras 44, 51–52; *Mihaly v Sri Lanka*, Award, 15 March 2002, paras 52, 58; *Joy Mining v Egypt*, Award on Jurisdiction, 6 August 2004, paras 42–50; *Jan de Nul v Egypt*, Decision on Jurisdiction, 16 June 2006, para 90; *Helnan v Egypt*, Decision on Jurisdiction, 17 October 2006, para 80; *Mitchell v DR Congo*, Decision on Annulment, 1 November 2006, para 31; *Fakes v Turkey*, Award, 14 July 2010, para 108; *El Paso v Argentina*, Award, 31 October 2011, para 142; *Quiborax v Bolivia*, Decision on Jurisdiction, 27 September 2012, paras 211–217; *Cortec v Kenya*, Award, 22 October 2018, para 255.

[6] *Aguas del Tunari v Bolivia*, Decision on Jurisdiction, 21 October 2005, para 278; *Malaysian Historical Salvors v Malaysia*, Award on Jurisdiction, 17 May 2007, para 55; *Malicorp v Egypt*, Award, 7 February 2011, para 107; *Phoenix v Czech Republic*, Award, 15 April 2009, para 74; *Ambiente Ufficio v Argentina*, Decision on Jurisdiction and Admissibility, 8 February 2013, para 438; *Kim v Uzbekistan*, Decision on Jurisdiction, 8 March 2017, para 242; *CMC v Mozambique*, Award, 24 October 2019, para 191.

2. Definitions of investment

(a) Investment contracts

A clause in an agreement by which the parties consent to submit disputes to investment arbitration under the ICSID Convention is a strong indication that they consider their transaction to be an investment. The classification of the proposed operation as an investment arises by necessary implication from the ICSID clause.[7] The contractual consent to ICSID arbitration will not, however, trigger an estoppel preventing the respondent from raising an objection to jurisdiction *ratione materiae*. Contracts cannot bring transactions or activities that would objectively not qualify as investments under the jurisdiction of ICSID.[8]

(b) Definitions in national laws

Some national laws contain offers of investment arbitration.[9] The United Nations Conference on Trade and Development (UNCTAD) currently lists 57 national laws that provide for consent to arbitration in investment disputes.[10] Twenty-six of these provide for ICSID Arbitration, 12 for UNCITRAL arbitration.[11]

Many of these national laws contain definitions of investment. Some are very terse like the definition in Article 3 of the Tanzanian Investment Act 1997:

> 'investment' means the creation or acquisition of new business assets and includes the expansion, restructuring or rehabilitation of an existing business enterprise;[12]

Some investment codes exclude certain economic activities from investment protection. For example, the investment Code of Congo, applicable in *Lahoud v DR Congo*, excludes: investments in mining, hydrocarbons, banking, insurance, production of arms and explosives, and commercial activities.[13]

[7] CF Amerasinghe, 'Submissions to the Jurisdiction of the International Centre for Settlement of Investment Disputes' (1973/74) 5 *J Marit Law Commer* 211, 223; A Broches, 'The Convention on the Settlement of Investment Disputes, Some Observations on Jurisdiction' (1966) 5 *Colum J Transnatl Law* 263, 268; H Golsong, 'A Guide to Procedural Issues in International Arbitration' (1984) 18 *Int'l Lawyer* 633, 634/5.

[8] *RSM v Grenada I*, Award, 13 March 2009, para 235; *RSM v Central African Republic*, Decision on Jurisdiction and Liability, 7 December 2010, para 48. See, however, *Caratube and Hourani v Kazakhstan*, Award, 27 September 2017, para 635.

[9] See XII.7(b) below. For a collection of national investment legislation see: Investment Laws of the World, loose-leaf collection (OUP, since 1973).

[10] <https://investmentpolicy.unctad.org/investment-laws>, accessed 16 July 2021.

[11] <https://investmentpolicy.unctad.org/investment-laws>, accessed 16 July 2021.

[12] Tanzania Investment Act, 1997 (1997), Act No 26 of 1997, Official Gazette No 40 Vol 78, Section 3.

[13] *Lahoud v DR Congo* Award, 7 February 2014, para 228.

Other definitions follow the pattern of modern BITs. Article 1 of the Law of Georgia on the Investment Activity Promotion and Guarantees (1996) provides:

Article 1. Investments

1) Investments shall be deemed to be all types of property and intellectual valuables or rights invested and applied for gaining possible profit in the investment activity carried out in the territory of Georgia.
2) Such valuables or rights may be:
   a. monetary assets, a share, stocks and other securities;
   b. movable and immovable property—land, buildings, structures, equipment and other material valuables;
   c. lease rights to land and the use of natural resources (including concession), patents, licenses, know-how, experience and other intellectual valuables;
   d. other property or intellectual valuables or rights provided for by the law.[14]

In *Zhinvali v Georgia*, the Tribunal decided that development costs did not qualify as an investment under the Georgia Investment Law.[15]

The definitions and restrictions contained in national laws do not necessarily represent the general meaning of the term 'investment'. But they form part of the conditions of consent and must be respected in order to establish jurisdiction in a particular case.

(c) Definitions in treaties

The majority of cases in recent years have been brought under investment treaties.[16] Almost all of these treaties contain asset-based definitions of the term investment. Most of these definitions contain a general term (such as 'all assets') and several groups of illustrative categories. These lists contain traditional property rights but are not limited to them.

[14] Law of Georgia on the investment activity promotion and guarantees (1996), Law No 473-10, <https://investmentpolicy.unctad.org/investment-laws/laws/75/georgia-investment-law >, accessed 26 March 2021.

[15] *Zhinvali v Georgia*, Award, 24 January 2003, 10 ICSID Reports 3, paras 375–390, 406–419.

[16] In 76 per cent of the cases registered by ICSID, the basis of consent to establish jurisdiction was an investment protection treaty, of these, 60 per cent were based on BITs (ICSID Caseload-Statistics, Issue 2020-1).

Typical examples of multilateral treaties containing definitions of 'investment' are the Energy Charter Treaty (ECT), with its definition in Article 1(6),[17] the North American Free Trade Agreement (NAFTA), which defines 'investment' in Article 1139, and the United States–Mexico–Canada Agreement (USMCA) which contains a definition in Article 14.1.[18]

The definition of 'investment' in the BIT between Argentina and the United States is as follows:

> 'investment' means every kind of investment in the territory of one Party owned or controlled directly or indirectly by nationals or companies of the other Party, such as equity, debt, and service and investment contracts; and includes without limitation:
>
> (i) tangible and intangible property, including rights, such as mortgages, liens and pledges;
>
> (ii) a company or shares of stock or other interests in a company or interests in the assets thereof;
>
> (iii) a claim to money or a claim to performance having economic value and directly related to an investment;
>
> (iv) intellectual property which includes, inter alia, rights relating to: literary and artistic works, including sound recordings, inventions in all fields of human endeavour, industrial designs, semiconductor mask works, trade secrets, know-how, and confidential business information, and trademarks, service marks, and trade names;

[17] ECT, Article 1(6):

> 'Investment' means every kind of asset, owned or controlled directly or indirectly by an Investor and includes: (a) tangible and intangible, and movable and immovable, property, and any property rights such as leases, mortgages, liens, and pledges; (b) a company or business enterprise, or shares, stock, or other forms of equity participation in a company or business enterprise, and bonds and other debt of a company or business enterprise; (c) claims to money and claims to performance pursuant to contract having an economic value and associated with an Investment; (d) Intellectual Property; (e) Returns; (f) any right conferred by law or contract or by virtue of any licences and permits granted pursuant to law to undertake any Economic Activity in the Energy Sector.

[18] USMCA, Article 14.1:

> **investment** means every asset that an investor owns or controls, directly or indirectly, that has the characteristics of an investment, including such characteristics as the commitment of capital or other resources, the expectation of gain or profit, or the assumption of risk. An investment may include:
>
> (a) an enterprise; (b) shares, stock and other forms of equity participation in an enterprise; (c) bonds, debentures, other debt instruments, and loans; (d) futures, options, and other derivatives; (e) turnkey, construction, management, production, concession, revenue-sharing, and other similar contracts; (f) intellectual property rights; (g) licenses, authorizations, permits, and similar rights conferred pursuant to a Party's law; and (h) other tangible or

(v) and any right conferred by law or contract, and any licenses and permits pursuant to law;

The agreement between Canada and the European Union (the Comprehensive Economic and Trade Agreement, CETA)[19] defines 'investment' in its Article 8.1. The definition incorporates elements of the concept of investment as developed by tribunals interpreting Article 25 of the ICSID Convention. It describes these elements as 'characteristics of an investment':

> **investment means every kind of asset that an investor owns or controls, directly or indirectly, that** has the characteristics of an investment, which includes a certain duration and other characteristics such as the commitment of capital or other resources, the expectation of gain or profit, or the assumption of risk. Forms that an investment may take include:
> (a) an enterprise;
> (b) shares, stocks and other forms of equity participation in an enterprise;
> (c) bonds, debentures and other debt instruments of an enterprise;
> (d) a loan to an enterprise;
> (e) any other kind of interest in an enterprise;
> (f) an interest arising from:
> (i) a concession conferred pursuant to the law of a Party or under a contract, including to
> search for, cultivate, extract or exploit natural resources,
> (ii) a turnkey, construction, production or revenue-sharing
> contract; or
> (iii) other similar contracts;

> intangible, movable or immovable property, and related property rights, such as liens, mortgages, pledges, and leases,
> but investment does not mean:
> (i) an order or judgment entered in a judicial or administrative action; (j) claims to money that arise solely from: (i) commercial contracts for the sale of goods or services by a natural person or enterprise in the territory of a Party to an enterprise in the territory of another Party, or (ii) the extension of credit in connection with a commercial contract referred to in subparagraph (j)(i) . . . .

[19] Comprehensive Economic and Trade Agreement (CETA) between Canada, the European Union, and its member States, signed 30 October 2016, not in force. Parts of the treaty are provisionally applied since 21 September 2017.

(g) intellectual property rights;
(h) other moveable property, tangible or intangible, or immovable property and related rights;
(i) claims to money or claims to performance under a contract.

For greater certainty, **claims to money does not include**:
(a) claims to money that arise solely from commercial contracts for the sale of goods or services by a natural person or enterprise in the territory of a Party to a natural person or enterprise in the territory of the other Party.
(b) the domestic financing of such contracts; or
(c) any order, judgment, or arbitral award related to sub-subparagraph (a) or (b).

Returns that are invested shall be treated as investments. Any alteration of the form in which assets are invested or reinvested does not affect their qualification as investment;

The matter will become more complicated if the definition itself contains a reference to the term 'investment', as is the case in the Argentina–US BIT or in the ECT.[20] In such circumstances, recourse to a general concept of 'investment' that goes beyond the treaty's definition may be necessary.

The definitions of investments in treaties frequently refer to rights governed by the host State's domestic laws. This applies to property rights, to contractual rights, and other rights granted by national law. The existence and extent of these rights constituting an investment depend upon the relevant national law.[21] In the individual case, the international tribunal will take the understanding of the law by the organs of the host State into account and may defer to this understanding. But the final decision is with the international tribunal.

Recurrent features in the definitions of the term 'investment' in investment treaties do not mean that they reflect a general definition. Rather, these definitions are part of the specific conditions of consent governing the relation between the disputing parties to individual disputes.

[20] ECT, Article 1(6)(c) refers to a 'contract having an economic value and associated with an Investment'. See in this respect *Petrobart v Kyrgyz Republic*, Award, 29 March 2005, p 72.

[21] *Suez and Vivendi v Argentina*, Decision on Liability, 30 July 2010, para 151; *Alpha v Ukraine*, Award, 8 November 2010, para 347; *Total v Argentina*, Decision on Liability, 27 December 2010, para 39; *Libananco v Turkey*, Award, 2 September 2011, para 112; *Quiborax v Bolivia*, Decision on Jurisdiction, 27 September 2012, paras 52, 115 et seq.; *Emmis v Hungary*, Award, 16 April 2014, para 48; *Philipp Morris v Uruquay*, Award, 8 July 2016, paras 177–178; *Gavrilovic v Croatia*, Award, 26 July 2018, para

3. A general concept of investment?

(a) 'Investment' in Article 25 of the ICSID Convention

Article 25 of the Convention serves as the jurisdictional gateway for access to ICSID, the most important form of investment arbitration.[22] Among the conditions for access to ICSID is the requirement that the dispute arises directly out of an investment. Yet, the ICSID Convention does not offer a definition or even a description of this basic term.

During the ICSID Convention's drafting there were extensive debates about the meaning of the term 'investment' and about possible definitions to be included in the Convention.[23] Suggestions to exclude insignificant claims by introducing a minimum limit, to require a certain duration of the investor's engagement, or to limit access to the Convention to certain types of transactions did not find entry into the Convention's text. Eventually, a compromise was reached, based on a suggestion by the United Kingdom, which resulted in the Convention's final version. The proposal was to limit ICSID's jurisdiction to 'investment disputes' without defining that notion. This was combined with a notification mechanism (now found in Article 25(4)) that allows States to declare what disputes they would not consider submitting to the Centre.

The Report of the Executive Directors, which is frequently cited on this point by arbitral tribunals, summarized the negotiations by way of concluding that the negotiators deliberately refrained from adopting any definition to leave room for an understanding by the parties:

> No attempt was made to define the term 'investment' given the essential requirement of consent by the parties, and the mechanism through which Contracting States can make known in advance, if they so desire, the classes of disputes which they would or would not consider submitting to the Centre (Article 25(4)).[24]

As is evident from the history of the Convention, this statement is incorrect since there had been a series of attempts to define the notion of investment which all failed. But it does reflect the fact that in the end a conscious decision was made not to define the term 'investment' and to leave the parties flexibility to decide which transactions they wished to submit.

432; *Italba v Uruguay*, Award, 22 March 2019, para 213; *Almasryia v Kuwait*, Award under Rule 41(5), 1 November 2019, paras 53–58.

[22] See below XII.5.

[23] For a detailed description see SW Schill et al (eds), *Schreuer's Commentary on the ICSID Convention* (2022) Article 25, paras 163–176.

[24] 1 ICSID Reports 28, para 27.

(b) The *Salini* test

Over time, tribunals operating under the ICSID Convention have developed criteria that they have found typical for the concept of an investment. The Tribunal in *Fedax v Venezuela*[25] listed five criteria as the basic features of an investment which it described as follows:

> The basic features of an investment have been described as involving a certain duration, a certain regularity of profit and return, assumption of risk, a substantial commitment and a significance for the host State's development.[26]

Among the five points in this approach, four have come to be widely considered, while regularity of profit was subsequently seldom considered relevant.[27]

The decision that has become most prominent in this context is *Salini v Morocco.*[28] It adopted four of these criteria. The Tribunal noted that the existence of an investment under the Convention was an objective condition of jurisdiction in addition to consent. It said:

> The doctrine generally considers that investment infers: contributions, a certain duration of performance of the contract and a participation in the risks of the transaction. In reading the Convention's preamble, one may add the contribution to the economic development of the host State of the investment as an additional condition.[29]

These four criteria for an investment have since become known as the 'Salini test.' They encompass:

- a (substantial) contribution;
- a certain duration of the operation;
- risk; and
- contribution to the host State's development.

[25] *Fedax v Venezuela*, Decision on Jurisdiction, 11 July 1997.

[26] At para 43. The Tribunal relied on C Schreuer, 'Commentary on the ICSID Convention' (1996) 11 *ICSID Rev* 372.

[27] But see: *Joy Mining v Egypt*, Award on Jurisdiction, 6 August 2004, para 53; *Helnan v Egypt*, Decision on Jurisdiction, 17 October 2006, para 77; *OKO Pankki v Estonia*, Award, 19 November 2007, para 203.

[28] *Salini v Morocco*, Decision on Jurisdiction, 16 July 2001.

[29] At para 52.

Tribunals have applied these criteria in numerous cases,[30] although the legal significance they attributed to them is not always clear. Tribunals have referred to them as basic features,[31] characteristics,[32] hallmarks,[33] indicative elements,[34] criteria,[35] and as representing an inherent meaning.[36] One tribunal tried to introduce two additional criteria.[37]

In tribunal practice, the first three of these criteria (contribution, duration, and risk) have been applied widely. The fourth criterion (contribution to host State development) has turned out to be controversial.

With regard to a *contribution*, tribunals have accepted a large variety of assets as investments. A contribution may be financial but may also consist of anything that has economic value such as know-how, management, equipment, material, personnel, labour, and services.[38] There is no minimum value, but purely symbolic contributions will not qualify.[39]

[30] *Bayindir v Pakistan*, Decision on Jurisdiction, 14 November 2005, paras 130–138; *Noble Energy v Ecuador*, Decision on Jurisdiction, 5 March 2008, paras 125–135; *Pey Casado v Chile*, Award, 8 May 2008, paras 231–232; *Toto v Lebanon*, Decision on Jurisdiction, 11 September 2009, paras 81–87; *Fakes v Turkey*, Award, 14 July 2010, paras 95–114; *Millicom v Senegal*, Decision on Jurisdiction, 16 July 2010, paras 80–81; *Alpha v Ukraine*, Award, 8 November 2010, paras 310–332; *Nations Energy v Panama*, Award, 24 November 2010, paras 442–455; *RSM v Central African Republic*, Award, 11 July 2011, paras 50–59; *Malicorp v Egypt*, Award, 7 February 2011, paras 106–114; *Meerapfel v Central African Republic*, Award, 12 May 2011, paras 175–186; *Quiborax v Bolivia*, Decision on Jurisdiction, 27 September 2012, paras 218–227; *Deutsche Bank v Sri Lanka*, Award, 31 October 2012, paras 293–307; *Electrabel v Hungary*, Decision on Jurisdiction, Applicable Law and Liability, 30 November 2012, paras 5.43–5.44; *Ambiente Ufficio v Argentina*, Decision on Jurisdiction and Admissibility, 8 February 2013, paras 475–487; *Niko Resources v Bangladesh*, Decision on Jurisdiction, 19 August 2013, para 352; *KT Asia v Kazakhstan*, Award, 17 October 2013, paras 161–173; *Flughafen Zürich v Venezuela*, Award, 18 November 2014, paras 244–258; *Mamidoil v Albania*, Award, 30 March 2015, paras 285–288; *Orascom v Algeria*, Award, 31 May 2017, para 370; *Karkey v Pakistan*, Award, 22 August 2017, paras 633, 636; *Koch v Venezuela*, Award, 30 October 2017, para 6.67; *Casinos Austria v Argentina*, Decision on Jurisdiction, 29 June 2018, paras 187–193; *Cortec v Kenya*, Award, 22 October 2018, para 300; *Standard Chartered Bank (Hong Kong) v Tanzania*, Award, 11 October 2019, paras 198–246; *CMC v Mozambique*, Award, 24 October 2019, paras 190–196.

[31] *Fedax v Venezuela*, Decision on Jurisdiction, 11 July 1997, para 43.

[32] *Helnan v Egypt*, Decision on Jurisdiction, 17 October 2006, para 77; *Mitchell v DR Congo*, Decision on Annulment, 1 November 2006, para 27; *RSM v Grenada I*, Award, 13 March 2009, para 240; *Pantechniki v Albania*, Award, 30 July 2009, para 36.

[33] *Malaysian Historical Salvors v Malaysia*, Award on Jurisdiction, 17 May 2007, para 106.

[34] *Jan de Nul v Egypt*, Decision on Jurisdiction, 16 June 2006, para 9.

[35] *Saipem v Bangladesh*, Decision on Jurisdiction, 21 March 2007, para 99; *Kardassopoulos v Georgia*, Decision on Jurisdiction, 6 July 2007, para 116.

[36] *Eyre and Montrose v Sri Lanka*, Award, 5 March 2020, para 293.

[37] *Phoenix v Czech Republic*, Award, 15 April 2009, para 114.

[38] *RFCC v Morocco*, Decision on Jurisdiction, 16 July 2001, para 61; *Bayindir v Pakistan*, Decision on Jurisdiction, 14 November 2005, para 131; *Malaysian Historical Salvors v Malaysia*, Award on Jurisdiction, 17 May 2007, para 109; *Sistem Mühendislik v Kyrgyz Republic*, Decision on Jurisdiction, 13 September 2007, para 86; *Toto v Lebanon*, Decision on Jurisdiction, 11 September 2009, para 86(a); *Deutsche Bank v Sri Lanka*, Award, 31 October 2012, para 297; *Flughafen Zürich v Venezuela*, Award, 18 November 2014, paras 248–249; *OI European v Venezuela*, Award, 10 March 2015, para 245; *A11Y v Czech Republic*, Award, 29 June 2018, paras 144–153; *Mason v Korea*, Decision on Respondent's Preliminary Objections, 22 December 2019, para 216.

[39] *Mihaly v Sri Lanka*, Award, 15 March 2002, para 51; *Mitchell v DR Congo*, Award, 9 February 2004, para 56 and Decision on Annulment, 1 November 2006, para 33; *Pantechniki v Albania*, Award, 30 July

A certain *duration* distinguishes an investment from a one-off transaction like a sale of goods. There is no clear limit for a minimum duration.[40] Some tribunals have suggested a minimum period of between one and five years.[41] In calculating the duration, tribunals take account also of the time taken for tender, work interruption, renegotiation, extension maintenance, and a contractor's guarantee.[42] What matters is the intended duration. An early termination does not affect the nature of the transaction as an investment.[43] Conversely, short-term transactions do not become investments due to an inadvertent delay in the sale of assets.[44]

Tribunals have accepted a wide range of *risks*, such as sovereign interference, unforeseen incidents, and commercial circumstances.[45] In some cases, the tribunals found that the very existence of the dispute before them was an evidence of risk.[46] In several cases, tribunals found that risk was inherent in any commercial activity.[47] Tribunals also found that the economic and political circumstances in the host State posed a relevant risk.[48]

Some tribunals have attempted to break down risk into various categories. Under this approach, commercial risk would have to be distinguished from the operational risk of an investment. The reason would be that commercial risk is not specific to an investment and can hence not be used to define the concept

2009, para 45; *Fakes v Turkey*, Award, 14 July 2010, para 112, fn 73; *Doutremepuich v Mauritius*, Award on Jurisdiction, 23 August 2019, para 126.

[40] *Romak v Uzbekistan*, Award, 26 November 2009, para 225; *Deutsche Bank v Sri Lanka*, Award, 31 October 2012, para 303; *Doutremepuich v Mauritius*, Award on Jurisdiction, 23 August 2019, para 143.

[41] *RFCC v Morocco*, Decision on Jurisdiction, 16 July 2001, para 62; *Salini v Morocco*, Decision on Jurisdiction, 16 July 2001, para 54; *Jan de Nul v Egypt*, Decision on Jurisdiction, 16 June 2006, paras 93–95; *Malaysian Historical Salvors v Malaysia*, Award on Jurisdiction, 17 May 2007, paras 110, 111.

[42] *Bayindir v Pakistan*, Decision on Jurisdiction, 14 November 2005, para 133; *Jan de Nul v Egypt*, Decision on Jurisdiction, 16 June 2006, paras 94, 95; *LESI & ASTALDI v Algeria*, Decision on Jurisdiction, 12 July 2006, para 73(ii); *Saipem v Bangladesh*, Decision on Jurisdiction, 21 March 2007, paras 101, 102; *Toto v Lebanon*, Decision on Jurisdiction, 11 September 2009, para 86(c); *Deutsche Bank v Sri Lanka*, Award, 31 October 2012, para 304.

[43] *ABCI v Tunisia*, Decision on Jurisdiction, 18 February 2011, para 62; *Mason v Korea*, Decision on Preliminary Objections, 22 December 2019, paras 226–248; *Adamakopoulos v Cyprus*, Decision on Jurisdiction, 7 February 2020, para 295.

[44] *KT Asia v Kazakhstan*, Award, 17 October 2013, paras 207–216; *Kim v Uzbekistan*, Decision on Jurisdiction, 8 March 2017, paras 340–343.

[45] *Salini v Morocco*, Decision on Jurisdiction, 16 July 2001, para 55; *Quiborax v Bolivia*, Decision on Jurisdiction, 27 September 2012, para 234; *Ambiente Ufficio v Argentina*, Decision on Jurisdiction and Admissibility, 8 February 2013, para 485.

[46] *Fedax v Venezuela*, Decision on Jurisdiction, 11 July 1997, para 40; *Deutsche Bank v Sri Lanka*, Award, 31 October 2012, para 301.

[47] *Salini v Morocco*, Decision on Jurisdiction, 16 July 2001, para 56; *Bayindir v Pakistan*, Decision on Jurisdiction, 14 November 2005, para 136; *Saipem v Bangladesh*, Decision on Jurisdiction, 21 March 2007, para 109; *RREEF v Spain*, Decision on Jurisdiction, 6 June 2016, para 158; *Krederi v Ukraine*, Award, 2 July 2018, para 238; *Gavrilovic v Croatia*, Award, 26 July 2018, para 215.

[48] *Kardassopoulos v Georgia*, Decision on Jurisdiction, 6 July 2007, para 117; *Pey Casado v Chile*, Award, 8 May 2008, para 233 (c); *Meerapfel v Central African Republic*, Award, 12 May 2011, para 204; *Deutsche Bank v Sri Lanka*, Award, 31 October 2012, para 301.

of investment.[49] The better approach would be to look at the various forms of risk in combination and with some degree of flexibility. Any form of risk, commercial, operational, or sovereign, is part of the typical features of an investment even though not every type of risk will necessarily materialize in every investment.

Contribution to the host State's development has turned out to be the most controversial indicator of an investment. It is the only criterion that is expressed in the ICSID Convention's text through the Preamble's reference to economic development.[50] Many tribunals examined and confirmed the existence of such a contribution,[51] mostly without making a clear statement about its role as a criterion for the existence of an investment.[52]

In *Mitchell v DR Congo*, the Tribunal had found that the claimant's law firm in the Congo constituted an investment.[53] The ad hoc Committee annulled the Award since it considered that the law firm did not contribute to the host State's economic and social development.[54]

In *Malaysian Historical Salvors v Malaysia*, the Sole Arbitrator declined jurisdiction finding that there was no investment since the salvage of historical objects from an ancient shipwreck did not make a significant contribution to the host State's economy.[55] The Award was annulled because it had elevated the criterion of contribution to the host State's development into a jurisdictional condition and interpreted that condition as excluding small contributions and contributions of a cultural and historical nature.[56]

[49] *Romak v Uzbekistan*, Award, 26 November 2009, paras 229–230; *Nova Scotia Power v Venezuela*, Award, 30 April 2014, paras 105–112; *Poštová banka v Greece*, Award, 9 April 2015, paras 367–370; *Doutremepuich v Mauritius*, Award on Jurisdiction, 23 August 2019, paras 145–147; *Standard Chartered Bank (Hong Kong) v Tanzania*, Award, 11 October 2019, paras 218–219; *Eyre and Montrose v Sri Lanka*, Award, 5 March 2020, paras 293–294.

[50] *CSOB v Slovakia*, Decision on Jurisdiction, 24 May 1999, para 64; *Bayindir v Pakistan*, Decision on Jurisdiction, 14 November 2005, para 137.

[51] *Fedax v Venezuela*, Decision on Jurisdiction, 11 July 1997, para 43; *Salini v Morocco*, Decision on Jurisdiction, 16 July 2001, para 57; *RFCC v Morocco*, Decision on Jurisdiction, 16 July 2001, paras 65, 66; *Helnan v Egypt*, Decision on Jurisdiction, 17 October 2006, para 77; *Saipem v Bangladesh*, Decision on Jurisdiction, 21 March 2007, paras 99–101; *Kardassopoulos v Georgia*, Decision on Jurisdiction, 6 July 2007, para 117; *OKO Pankki v Estonia*, Award, 19 November 2007, para 206; *Noble Energy v Ecuador*, Decision on Jurisdiction, 5 March 2008, paras 128, 132; *Millicom v Senegal*, Decision on Jurisdiction, 16 July 2010, paras 80–81; *Malicorp v Egypt*, Award, 7 February 2011, paras 109–112; *Meerapfel v Central African Republic*, Award, 12 May 2011, paras 179, 183, 206–209; *Convial Callao v Peru*, Final Award, 21 May 2013, paras 438; *Karkey v Pakistan*, Award, 22 August 2017, para 633; *Cortec v Kenya*, Award, 22 October 2018, para 300(c).

[52] But see: *Toto v Lebanon*, Decision on Jurisdiction, 11 September 2009, para 86; *Standard Chartered Bank (Hong Kong) v Tanzania*, Award, 11 October 2019, para 220.

[53] *Mitchell v DR Congo*, Award, 9 February 2004, paras 40–57.

[54] *Mitchell v DR Congo*, Decision on Annulment, 1 November 2006, paras 39–48.

[55] *Malaysian Historical Salvors v Malaysia*, Award on Jurisdiction, 17 May 2007, paras 44–146.

[56] *Malaysian Historical Salvors v Malaysia*, Decision on Annulment, 16 April 2009, paras 64–80.

An increasing number of tribunals reject a contribution to the host State's development as an independent criterion for the existence of an investment.[57] Some have found that the contribution to the host State's development was a consequence of an investment rather than a precondition to its existence.[58]

Overall, the *Salini* test has had a mixed following.[59] It has been applied in numerous ICSID cases. Some tribunals have even applied it in non-ICSID cases.[60] Other tribunals have denied the relevance of the *Salini* test in non-ICSID proceedings.[61]

Some tribunals have explicitly distanced themselves from the *Salini* test. For instance, the Tribunal in *Biwater Gauff v Tanzania*[62] said:

> the Salini Test itself is problematic if, as some tribunals have found, the 'typical characteristics' of an investment as identified in that decision are elevated into a fixed and inflexible test, and if transactions are to be presumed excluded from the ICSID Convention unless each of the five criteria are satisfied. This risks the arbitrary exclusion of certain types of transaction from the scope of the Convention.[63]

The Annulment Committee in *Teinver v Argentina* found that a failure to apply the *Salini* test in itself cannot constitute a manifest excess of powers.[64] In a series of decisions, tribunals have described the *Salini* test as a misnomer,[65] as non-binding and non-exclusive,[66] as not absolute,[67] as not creating a limit,[68] and as not constituting jurisdictional requirements.[69]

[57] *LESI-DIPENTA v Algeria*, Award, 10 January 2005, para II 13(iv); *LESI & ASTALDI v Algeria*, Decision on Jurisdiction, 12 July 2006, para 72(iv); *Pey Casado v Chile*, Award, 8 May 2008, para 232; *Phoenix v Czech Republic*, Award, 15 April 2009, paras 85–86; *Alpha v Ukraine*, Award, 8 November 2010, para 312; *RSM v Central African Republic*, Award, 11 July 2011, paras 56–57; *Deutsche Bank v Sri Lanka*, Award, 31 October 2012, para 306; *Electrabel v Hungary*, Decision on Jurisdiction, Applicable Law and Liability, 30 November 2012, para 5.43; *Philip Morris v Uruguay*, Decision on Jurisdiction, 2 July 2013, paras 201, 207–208; *Houben v Burundi*, Award, 12 January 2016, para 112, fn 43; *İçkale v Turkmenistan*, Award, 8 March 2016, para 291; *Mabco v Kosovo*, Decision on Jurisdiction, 30 October 2020, paras 296, 301, 414.

[58] *Fakes v Turkey*, Award, 14 July 2010, para 111; *Quiborax v Bolivia*, Decision on Jurisdiction, 27 September 2012, paras 220–225; *KT Asia v Kazakhstan*, Award, 17 October 2013, paras 171–172.

[59] *Standard Chartered Bank (Hong Kong) v Tanzania*, Award, 11 October 2019, paras 198–200.

[60] *Romak v Uzbekistan*, Award (UNCITRAL), 26 November 2009, paras 190–208; *AFT v Slovakia*, Award (UNCITRAL), 5 March 2011, paras 239–246; *Nova Scotia Power v Venezuela*, Award (AF), 30 April 2014, paras 84–113; *MNSS v Montenegro*, Award (AF), 4 May 2016, paras 189–202.

[61] *White Industries v India*, Final Award (UNCITRAL), 30 November 2011, paras 7.4.8–7.4.19; *Guaracachi v Bolivia*, Award (UNCITRAL), 31 January 2014, para 364; *Flemingo v Poland*, Award (UNCITRAL), 12 August 2016, para 298; *Częścik v Cyprus*, Final Award (SCC), 11 February 2017, paras 192–195; *Anglia Auto v Czech Republic*, Final Award (SCC), 10 March 2017, para 150; *Strabag v Libya*, Award (AF), 29 June 2020, para 109.

[62] *Biwater Gauff v Tanzania*, Award, 24 July 2008, para 314.

[63] At para 314.

[64] *Teinver v Argentina*, Decision on Annulment, 29 May 2019, para 87.

[65] *Pantechniki v Albania*, Award, 30 July 2009, paras 36, 43.

[66] *Inmaris Perestroika v Ukraine*, Decision on Jurisdiction, 8 March 2010, para 131.

[67] *Malicorp v Egypt*, Award, 7 February 2011, para 109.

[68] *Abaclat v Argentina*, Decision on Jurisdiction and Admissibility, 4 August 2011, para 364.

[69] *Philip Morris v Uruguay*, Decision on Jurisdiction, 2 July 2013, para 206.

When tribunals have looked at the *Salini* criteria, they have at times emphasized that they are interdependent and should not be examined seriatim but in conjunction.[70] In *İçkale v Turkmenistan*[71] the Tribunal said:

> The Tribunal agrees that the three criteria identified by the Salini tribunal – contribution of capital, certain duration and assumption of risk – are not independent or free-standing criteria but interdependent in the sense that a commitment of capital to a business venture—'contribution' of capital—implies, in itself, a certain duration for the contribution in question and a risk of loss of the capital contributed.[72]

4. Types of investments

The concept of an investment covers a large variety of transactions. This diversity is reflected in the definitions contained in investment treaties.[73] The relevant cases show the wide range of economic sectors in which investments are made. They concern oil, gas, and mining; electric power and other energy; transportation; construction; finance; information and communication; water, sanitation, and flood protection; agriculture, fishing, and forestry; tourism; services and trade, as well as other industries.[74]

(a) Tangible assets

Property rights in tangibles is the most obvious form of investment. These properties will qualify as investments if they are destined for the pursuit of the investor's business activity. This will include movable as well as immovable property such as land, machinery, vehicles, office appliances, and other equipment.[75]

[70] *Salini v Morocco*, Decision on Jurisdiction, 16 July 2001, para 52; *Bayindir v Pakistan*, Decision on Jurisdiction, 14 November 2005, para 130; *Jan de Nul v Egypt*, Decision on Jurisdiction, 16 June 2006, para 91; *Malaysian Historical Salvors v Malaysia*, Award on Jurisdiction, 17 May 2007, paras 72; *Kardassopoulos v Georgia*, Decision on Jurisdiction, 6 July 2007, para 116; *Noble Energy v Ecuador*, Decision on Jurisdiction, 5 March 2008, para 128; *Meerapfel v Central African Republic*, Award, 12 May 2011, paras 184–186; *Caratube v Kazakhstan*, Award, 5 June 2012, para 409; *Adamakopoulos v Cyprus*, Decision on Jurisdiction, 7 February 2020, para 294.

[71] *İçkale v Turkmenistan*, Award, 8 March 2016.

[72] At para 290.

[73] See IV.2(c) above.

[74] The ICSID Caseload—Statistics, Issue 2020-1 (2020) 12.

[75] *Santa Elena v Costa Rica*, Award, 17 February 2000; *Middle East Cement v Egypt*, Award, 12 April 2002, paras 131–151; *Strabag v Libya*, Award, 29 June 2020, para 110.

(b) Contract rights

It is well established that rights arising from contracts between the investor and the government, or a governmental entity, may amount to an investment.[76] This includes concessions, licences, or permits, for example for the exploitation of natural resources, the operation of public utilities, or the implementation of other regulated business activities.[77] Contracts with private parties can also constitute an investment.[78]

Not every contract with the State, however, qualifies as an investment. There is a consistent practice to the effect that contracts that are not more than regular commercial transactions do not qualify as investments. A simple sale of goods or a transient commercial transaction is not an investment.[79]

(c) Shareholding

Shareholding is a frequently invoked form of investment. Many host States require that investments are made through locally incorporated companies whose shares the foreign investor holds in whole or in part. Shareholding is routinely mentioned in definitions of 'investment' in treaties[80] and has been routinely recognized by tribunals. The protection of shareholding is independent of and additional to the possible recognition of the local company as a foreign investor.[81] The protection of shareholdings

[76] *SPP v Egypt*, Award, 20 May 1992, paras 164, 165; *IBM v Ecuador*, Decision on Jurisdiction, 22 December 2003, paras 11–18; *Bayindir v Pakistan*, Decision on Jurisdiction, 14 November 2005, para 255; *Eureko v Poland*, Partial Award, 19 August 2005, para 241; *Inmaris Perestroika v Ukraine*, Decision on Jurisdiction, 8 March 2010, para 92.

[77] *Goetz v Burundi*, Award, 10 February 1999, para 124; *Tecmed v Mexico*, Award, 29 May 2003, para 91; *SGS v Pakistan*, Decision on Jurisdiction, 6 August 2003, para 135; *Azurix v Argentina*, Decision on Jurisdiction, 8 December 2003, para 62; *PSEG v Turkey*, Decision on Jurisdiction, 4 June 2004, para 104; *Telenor v Hungary*, Award, 13 September 2006, paras 61–62; *Malicorp v Egypt*, Award, 7 February 2011, paras 111–114; *Quiborax v Bolivia*, Decision on Jurisdiction, 27 September 2012, paras 228–237; *Flughafen Zürich v Venezuela*, Award, 18 November 2014, paras 238–258; *von Pezold v Zimbabwe*, Award, 28 July 2015, para 315.

[78] *Houben v Burundi*, Award, 12 January 2016, paras 127–130; *Devas v India*, Award on Jurisdiction and Merits, 25 July 2016, paras 199–210; *Adamakopoulos v Cyprus*, Decision on Jurisdiction, 7 February 2020, para 300; *Gosling v Mauritius*, Award, 18 February 2020, paras 130–135, 144–146, 166(i).

[79] *Joy Mining v Egypt*, Award on Jurisdiction, 6 August 2004, paras 55, 58; *Phoenix v Czech Republic*, Award, 15 April 2009, para 82; *Malaysian Historical Salvors v Malaysia*, Decision on Annulment, 16 April 2009, para 69; *Pantechniki v Albania*, Award, 30 July 2009, para 44; *Romak v Uzbekistan*, Award, 26 November 2009, para 211; *Global Trading v Ukraine*, Award, 1 December 2010, para 56; *GEA v Ukraine*, Award, 31 March 2011, paras 148–153; *Elsamex v Honduras*, Award, 16 November 2012, paras 253–283; *Ambiente Ufficio v Argentina*, Decision on Jurisdiction and Admissibility, 8 February 2013, para 470; *Philip Morris v Uruguay*, Decision on Jurisdiction, 2 July 2013, para 203; *Niko Resources v Bangladesh*, Decision on Jurisdiction, 19 August 2013, paras 358–359; *Nova Scotia Power v Venezuela*, Award, 30 April 2014, para 113; *Tenaris v Venezuela I*, Award, 29 January 2016, para 291; *Caratube and Hourani v Kazakhstan*, Award, 27 September 2017, para 635.

[80] See IV.2(c) above.

[81] See III.4 above and XII.6(c) below.

is not limited to majority or controlling shareholding but also covers minority shareholding.[82] The protection may extend to indirect shareholding and to the assets of the company whose shares the investor holds.[83]

(d) Financial instruments

Many cases involve financial instruments such as loans, bonds, treasury bills, and promissory notes. The funds may be put at the disposal of the host State or of a private party.[84] The financial transactions may be for the purpose of a particular project[85] or for the State's general budget.[86] Although financial instruments are a recognized form of investment, some tribunals have found that contingent liabilities such as bank guarantees or options did not qualify as investments.[87] On the other hand, a hedging agreement between a foreign bank and a national petroleum company, which had the objective of protecting the company against the impact of rising oil prices, qualified as an investment.[88]

(e) Intellectual property rights

Intellectual property rights, such as patents, trademarks, and designs are routinely listed in definitions of the term investment. Their potential as investment is beyond doubt,[89] although they have until now generated only limited case law.[90]

[82] See IV.9(c) below.
[83] See IV.9(e) below.
[84] *Sempra v Argentina*, Award, 28 September 2007, paras 214–216; *OKO Pankki v Estonia*, Award, 19 November 2007, paras 179–180, 208; *Daimler v Argentina*, Award, 22 August 2012, para 83; *Tulip v Turkey*, Award, 10 March 2014, paras 202–203; *Tenaris v Venezuela I*, Award, 29 January 2016, para 289; *MNSS v Montenegro*, Award, 4 May 2016, paras 196, 201; *Adamakopoulos v Cyprus*, Decision on Jurisdiction, 7 February 2020, paras 291–304. But see *Poštová banka v Greece*, Award, 9 April 2015, paras 248–350, 361–365, 370.
[85] *CSOB v Slovakia*, Decision on Jurisdiction, 24 May 1999, paras 76–91; *CDC v Seychelles*, Award, 17 December 2003, paras 6, 8, 18, 19, 21; *Alpha v Ukraine*, Award, 8 November 2010, paras 273–274, 322–323; *Standard Chartered Bank (Hong Kong) v Tanzania*, Award, 11 October 2019, paras 220, 251.
[86] *Fedax v Venezuela*, Decision on Jurisdiction, 11 July 1997, paras 18–43; *African Holding v DR Congo*, Award, 29 July 2008, paras 74–84; *Abaclat v Argentina*, Decision on Jurisdiction, 4 August 2011, paras 362–367; *Ambiente Ufficio v Argentina*, Decision on Jurisdiction and Admissibility, 8 February 2013, paras 441–471; *Alemanni v Argentina*, Decision on Jurisdiction and Admissibility, 17 November 2014, para 296.
[87] *PSEG v Turkey*, Decision on Jurisdiction, 4 June 2004, para 189; *Joy Mining v Egypt*, Award on Jurisdiction, 6 August 2004, paras 42–63, 78; *White Industries v India*, Final Award, 30 November 2011, paras 7.5.1–7.5.7, 12.2.1; *Deutsche Bank v Sri Lanka*, Award, 31 October 2012, paras 171–174, 245–246, 311; *Bosca v Lithuania*, Award, 17 May 2013, para 169; *ST-AD v Bulgaria*, Award on Jurisdiction, 18 July 2013, para 273.
[88] *Deutsche Bank v Sri Lanka*, Award, 31 October 2012, paras 283–312.
[89] S Klopschinski et al, *The Protection of Intellectual Property Rights under International Investment Law* (2021).
[90] *Philip Morris v Uruguay*, Award, 8 July 2016, paras 235–271; *Bridgestone v Panama*, Decision on Expedited Objections, 13 December 2017, paras 159–222.

(f) Arbitral awards

In some cases, tribunals found that claims arising from the non-performance of commercial arbitration awards gave rise to protected rights. They classified the awards either as investments or as reflecting rights arising from the investments.[91] In one case, the tribunal found that the right to arbitration amounted to a protected investment.[92]

5. The unity of an investment

Many investments are complex operations. They may consist of preparatory studies, licences, government permits, financing arrangements, real estate transactions, various contractual arrangements, and a variety of other legal dispositions. Each of these elements has its own legal existence but in economic terms they are united to serve a common purpose. Typically, investment tribunals have treated the various assets and activities that make up an investment as a unity. In most cases they have not dissected investments into their individual legal components but have treated them as an integral whole. In doing so, they have given precedence to economic realism over legal formalism.[93]

When determining the existence of an investment, tribunals have looked at a combination of elements that collectively made up the investment. In *Mytilineos v Serbia & Montenegro*,[94] the claimant had entered into a series of agreements with a 'socially owned company' under the law of Yugoslavia. The Respondent argued that there was no investment since these were ordinary commercial contracts. The Tribunal found that, in combination, the contracts amounted to an investment. It said:

> Even if one doubted whether the Agreements looked at in isolation would constitute investments by themselves, is seems clear that the combined effect of these agreements amounts to an investment… the combined effect of the Agreements is clearly more than an ordinary commercial transaction.[95]

[91] *Romak v Uzbekistan*, Award, 26 November 2009, para 211; *Saipem v Bangladesh*, Decision on Jurisdiction, 21 March 2007, paras 113–114, 127; *Frontier Petroleum v Czech Republic*, Final Award, 12 November 2010, para 231; *GEA v Ukraine*, Award, 31 March 2011, paras 144, 158–164, 227–237; *White Industries v India*, Final Award, 30 November 2011, paras 7.6.1–7.6.10; *Gavazzi v Romania*, Decision on Jurisdiction, Admissibility and Liability, 21 April 2015, paras 118–120; *Anglia Auto v Czech Republic*, Final Award, 10 March 2017, paras 151–154.

[92] *ATA v Jordan*, Award, 18 May 2010, paras 110–120.

[93] C Schreuer, 'The Unity of an Investment' (2021) 19 *ICSID Reports* 3.

[94] *Mytilineos v Serbia & Montenegro*, Partial Award on Jurisdiction, 8 September 2006.

[95] At paras 120, 125.

Other tribunals too found that several contracts had to be viewed in combination to establish the existence of an investment.[96]

Some cases involved a variety of assets and activities that combined to form an investment.[97] *Saipem v Bangladesh*[98] concerned the construction of a pipeline governed by a contract, retention money, warranty bonds as well as an ICC Arbitration Award in claimant's favour that had been nullified by the Respondent's Supreme Court. The Tribunal looked at the entire operation to establish the existence of an investment:

> [T]he Tribunal wishes to emphasize that for the purpose of determining whether there is an investment under Article 25 of the ICSID Convention, it will consider the entire operation. In the present case, the entire or overall operation includes the Contract, the construction itself, the Retention Money, the warranty and the related ICC Arbitration.[99]

Tribunals have also extended the protection of investments to assets and activities that were ancillary or incidental to the investment's core activity. In *Holiday Inns v Morocco*,[100] the agreement for the establishment and operation of hotels, providing for ICSID jurisdiction, had also foreseen financing by the government. The Respondent objected to the jurisdiction of ICSID over the separate loan contracts. The Tribunal emphasized the general unity of an investment operation to assert its jurisdiction also over the loan contracts. The Tribunal said:

> It is well known, and it is being particularly shown in the present case, that investment is accomplished by a number of juridical acts of all sorts. It would not be consonant either with economic reality or with the intention of the parties to consider each of these acts in complete isolation from the others. It is particularly important to ascertain which is the act which is the basis of the investment and which entails as measures of execution the other acts which have been concluded in order to carry it out.[101]

[96] *ADC v Hungary*, Award, 2 October 2006, paras 325, 331; *Inmaris Perestroika v Ukraine*, Decision on Jurisdiction, 8 March 2010, para 92; *Arif v Moldova*, Award, 8 April 2013, para 367; *İçkale v Turkmenistan*, Award, 8 March 2016, para 293.

[97] *OKO Pankki v Estonia*, Award, 19 November 2007, para 208; *White Industries v India*, Final Award, 30 November 2011, paras 7.4.19, 7.5.1, 7.6.8–7.6.10; *Electrabel v Hungary*, Decision on Jurisdiction, Applicable Law and Liability, 30 November 2012, para 5.44; *Ambiente Ufficio v Argentina*, Decision on Jurisdiction and Admissibility, 8 February 2013, paras 429, 432–434, 486; *A11Y v Czech Republic*, Award, 29 June 2018, para 107; *Unión Fenosa v Egypt*, Award, 31 August 2018, paras 6.66–6.68; *ICS v Argentina II*, Award on Jurisdiction, 8 July 2019, para 293. See also: *Joy Mining v Egypt*, Award on Jurisdiction, 6 August 2004, paras 42, 44–45, 47, 54; *Mitchell v DR Congo*, Award, 9 February 2004, para 55 and Decision on Annulment, 1 November 2006, paras 38–41; *Bear Creek v Peru*, Award, 30 November 2017, para 296.

[98] *Saipem v Bangladesh*, Decision on Jurisdiction, 21 March 2007.

[99] At para 110. Footnote omitted.

[100] *Holiday Inns v Morocco*, Decision on Jurisdiction of 12 May 1974, 1 ICSID Reports 645.

[101] At 680.

Other tribunals too have accepted that loan agreements were part of the overall investment they were designed to serve.[102] They applied the doctrine of the unity of the investment also to other activities incidental to the investment.[103]

In some cases, the unity of the investment led tribunals to conclude that consent to arbitration contained in some investment-related documents extended to legal relationships governed by other documents.[104]

The unity of the investment has also played a role in determining whether the investment had taken place in the host State's territory.[105] With respect to financial instruments they found that what mattered was the economic effect of the investment that was felt in the host State's territory.[106] Where the investment consisted of pre-shipment inspections, tribunals found that the services provided abroad were inseparable from the activity in the host State.[107]

In some cases, tribunals used the concept of the unity of the investment to extend the consequences of an illegality[108] to the entire investment. An illegality that tainted one aspect of the investment's formation had the consequence of withdrawing protection from the entire investment.[109]

In some cases, tribunals relied on the unity of the investment to determine whether an alleged expropriation had indeed amounted to a substantial deprivation.[110] They examined the impact of expropriatory measures on the investment as a whole and not upon its component parts.[111] On the other hand, some tribunals

[102] *CSOB v Slovakia*, Decision on Jurisdiction, 24 May 1999, para 72, but see Decision on Further and Partial Objection to Jurisdiction, 1 December 2000, paras 26–32; *Alpha v Ukraine*, Award, 8 November 2010, paras 272–273; *Tulip v Turkey*, Award, 10 March 2014, para 202; *MNSS v Montenegro*, Award, 4 May 2016, paras 201–202; *Tenaris v Venezuela I*, Award, 29 January 2016, para 289.

[103] *SOABI v Senegal*, Award, 25 February 1988, paras 8.01–8.23; *Enron v Argentina*, Decision on Jurisdiction, 14 January 2004, para 70; *H&H v Egypt*, Decision on Jurisdiction, 5 June 2012, para 42; *Niko Resources v Bangladesh*, Decision on Jurisdiction, 19 August 2013, paras 361, 371; *Mamidoil v Albania*, Award, 30 March 2015, para 288; *Magyar Farming v Hungary*, Award, 13 November 2019, paras 274–276.

[104] *Duke Energy v Peru*, Decision on Jurisdiction, 1 February 2006, paras 80–82, 89, 90, 92(2), 100, 102, 119–31; *Cambodia Power v Cambodia*, Decision on Jurisdiction, 22 March 2011, para 141.

[105] See IV.7 below.

[106] *Ambiente Ufficio v Argentina*, Decision on Jurisdiction and Admissibility, 8 February 2013, paras 500, 508.

[107] *SGS v Philippines*, Decision on Jurisdiction, 29 January 2004, paras 102, 112; *BIVAC v Paraguay*, Decision on Jurisdiction, 29 May 2009, para 103; *SGS v Paraguay*, Decision on Jurisdiction, 12 February 2010, paras 113, 115.

[108] See IV.8 below.

[109] *Fraport v Philippines I*, Award, 16 August 2007, paras 396–404 and Decision on Annulment, 23 December 2010, para 113; *Mamidoil v Albania*, Award, 30 March 2015, paras 366–367.

[110] See VII.3(c) below.

[111] *Feldman v Mexico*, Award, 16 December 2002, para 152; *Telenor v Hungary*, Award, 13 September 2006, paras 61–62, 65, 67, 79; *Merrill & Ring v Canada*, Award, 31 March 2010, para 144; *Grand River v United States*, Award, 12 January 2011, paras 155, 154; *Burlington v Ecuador*, Decision on Liability, 14 December 2012, paras 257, 260, 398, 470 530; *Electrabel v Hungary*, Decision on Jurisdiction, Applicable Law and Liability, 30 November 2012, para 6.58; *Philip Morris v Uruguay*, Award, 8 July 2016, para 283.

have recognized the possibility of partial expropriations[112] by looking at individual elements of investments to determine whether they had been expropriated.[113]

6. The origin of the investment

Only foreign investments are protected by international investment law. In some cases, respondents have argued that there was no foreign investment in the absence of fresh capital imported into the country because the investor had raised capital locally. A similar argument was that the investor had not used its own funds but had relied on funding from a third party.

The decisive criterion for the foreignness of an investment is the nationality of the investor. An investment is foreign if it is owned or controlled by a foreign investor. There is no additional requirement of foreignness for the investment in terms of the origin of capital.

The host State may impose the requirement that a certain amount of fresh capital in foreign currency must be imported into the country.[114] In the absence of such a requirement, investments made by foreign investors with local funds are to be treated in the same way as investments funded with imported capital.

Moreover, the benefits of foreign investments accrue to host States not merely through a transfer of capital. Know-how, technology, business experience, entrepreneurship, and intellectual property are non-monetary assets that are essential to investments and serve the local economy.

Tribunals have held consistently that the origin of the capital that goes into an investment is irrelevant for the investment's international nature.[115] In *Tokios*

[112] See VII.1(b) below.

[113] *Middle East Cement v Egypt*, Award, 12 April 2002, paras 107, 127, 138, 144, 163, 165; *Waste Management v Mexico II*, Award, 30 April 2004, paras 141, 175; *Eureko v Poland*, Partial Award, 19 August 2005, paras 239–241.

[114] *Amco v Indonesia*, Award, 20 November 1984, 1 ICSID Reports 413, 481–489.

[115] *Tradex v Albania*, Award, 29 April 1999, paras 105, 108–111; *Wena Hotels v Egypt*, Award, 8 December 2000, para 126 and Decision on Annulment, 28 January 2002, para 54; *Olguín v Paraguay*, Award, 26 July 2001, para 66, fn 9; *ADC v Hungary*, Award, 2 October 2006, paras 310–325, 342, 343, 346, 347, 355, 356, 358, 360; *Siag v Egypt*, Decision on Jurisdiction, 11 April 2007, paras 37–40, 62–66, 86, 100, 110, 122, 208–210; *Rompetrol v Romania*, Decision on Jurisdiction and Admissibility, 18 April 2008, paras 55–56, 71, 101, 110; *Yukos v Russian Federation*, Interim Award on Jurisdiction and Admissibility, 30 November 2009, paras 432–435; *Lemire v Ukraine*, Decision on Jurisdiction and Liability, 14 January 2010, paras 56–59; *Mobil v Venezuela*, Decision on Jurisdiction, 10 June 2010, para 198; *Paushok v Mongolia*, Award on Jurisdiction and Liability, 28 April 2011, para 205; *Caratube v Kazakhstan*, Award, 5 June 2012, para 355; *Arif v Moldova*, Award, 8 April 2013, para 383; *Urbaser v Argentina*, Decision on Jurisdiction, 19 December 2012, para 307; *OI European v Venezuela*, Award, 10 March 2015, para 242; *Gold Reserve v Venezuela*, Award, 22 September 2014, paras 261–262; *von Pezold v Zimbabwe*, Award, 28 July 2015, para 288; *RREEF v Spain*, Decision on Jurisdiction, 6 June 2016, para 158; *Eiser v Spain*, Award, 4 May 2017, para 228; *Masdar v Spain*, Award, 16 May 2018, paras 179–181, 190–191, 201–202; *A11Y v Czech Republic*, Award, 29 June 2018, paras 117–123, 137–142; *Gavrilovic v Croatia*, Award, 26 July 2018, paras 209, 216; *Cortec v Kenya*, Award, 22 October 2018, paras 269, 271; *Mera v Serbia*, Decision on Jurisdiction, 30 November 2018, para 170.

Tokelės v Ukraine,[116] the claimant had its registered seat in Lithuania. The respondent argued that there was no protected investment since the capital invested did not originate outside the Ukraine. The Tribunal's majority noted that neither the ICSID Convention nor the Ukraine–Lithuania BIT contained a requirement that capital used by a foreign investor should originate in its State of nationality or indeed originate outside the host State.[117] It rejected an 'origin-of-capital requirement' and said:

> The Respondent alleges that the Claimant has not proved that the capital used to invest in Ukraine originated from non-Ukrainian, sources, and, thus, the Claimant has not made a direct, or cross-border, investment. Even assuming, *arguendo*, that all of the capital used by the Claimant to invest in Ukraine had its ultimate origin in Ukraine, the resulting investment would not be outside the scope of the Convention. The Claimant made an investment for the purposes of the Convention when it decided to deploy capital under its control in the territory of Ukraine instead of investing it elsewhere. The origin of the capital is not relevant to the existence of an investment.[118]

In *Saipem v Bangladesh*, the claimant had entered into a contract to build a pipeline. The Respondent disputed the existence of an investment on the ground that the claimant had not put its own money into the project.[119] The Tribunal rejected this argument and said:

> it is true that the host State may impose a requirement that an amount of capital in foreign currency be imported into the country. However, in the absence of such a requirement, investments made by foreign investors from local funds or from loans raised in the host State are treated in the same manner as investments funded with imported capital. In other words, the origin of the funds is irrelevant.[120]

Therefore, unless specifically provided, the origin of the funds is irrelevant. Whether the investments were made from imported capital, from the investor's local funds, or from funds raised locally makes no difference. The decisive criterion for the existence of a foreign investment is the nationality of the investor.

[116] *Tokios Tokelės v Ukraine*, Decision on Jurisdiction, 29 April 2004.
[117] At paras 74–82.
[118] At para 80. But see also the reasoning to the contrary in the Dissenting Opinion by arbitrator Prosper Weil at paras 19, 20.
[119] *Saipem v Bangladesh*, Decision on Jurisdiction, 21 March 2007, para 103.
[120] At para 106. Footnote omitted.

An investment will be a foreign investment if it is owned or controlled by a foreign investor. There is no additional requirement of a foreign origin of the investment.

7. Investments in the host State's territory

Some treaties refer to investments 'in the territory' of the host State.[121] At times, respondents have argued that this requirement had not been met, since the would-be investor had not established a significant physical presence in the host State. The problem has arisen primarily in cases involving financial instruments, such as loans, and in cases involving pre-shipment inspection services.

(a) Financial instruments

In *Fedax v Venezuela* the investor had merely acquired promissory notes issued by the host country. The Tribunal rejected the respondent's argument that the claimant had not invested 'in the territory' of Venezuela:

> While it is true that in some kinds of investments … such as the acquisition of interests in immovable property, companies and the like, a transfer of funds or value will be made into the territory of the host country, this does not necessarily happen in a number of types of investments, particularly those of a financial nature. It is a standard feature of many international financial transactions that the funds involved are not physically transferred to the territory of the beneficiary, but are put at its disposal elsewhere.[122]

In a similar way, tribunals found that the acquisition of government bonds met the territorial nexus requirement. *Abaclat v Argentina*,[123] concerned Argentinean government bonds held by Italian investors. The BIT between Argentina and Italy requires that the investment had to be made 'nel territorio dell'altra'. The Tribunal held that the requirement of territoriality had been met. The decisive element for purely financial investments was the place of the benefit. The Tribunal said:

[121] The ECT in Article 26(1) refers to investments 'in the Area' of a contracting party. NAFTA, Article 1101(1) speaks of 'investments in the territory'. The USMCA, Article 14.1 speaks of 'an investment in its territory'. The Argentina–United States BIT (1991) in Article I(1)(a) refers to 'every kind of investment in the territory'.

[122] *Fedax v Venezuela*, Decision on Jurisdiction, 11 July 1997, para 41. To the same effect: *CSOB v Slovakia*, Decision on Jurisdiction, 24 May 1999, paras 77, 78; *LESI & ASTALDI v Algeria*, Decision on Jurisdiction, 12 July 2006, para 73(i); *Renta 4 v Russian Federation*, Award on Preliminary Objections, 20 March 2009, para 144.

[123] *Abaclat v Argentina*, Decision on Jurisdiction and Admissibility, 4 August 2011.

> the determination of the place of the investment firstly depends on the nature of such investment. With regard to an investment of a purely financial nature, the relevant criteria cannot be the same as those applying to an investment consisting of business operations and/or involving manpower and property. With regard to investments of a purely financial nature, the relevant criteria should be where and/or for the benefit of whom the funds are ultimately used, and not the place where the funds were paid out or transferred.[124]

In other cases too, tribunals found that payments that had taken place outside the host State were sufficiently connected to its territory since they were made to its benefit.[125]

(b) Pre-shipment inspections

Some cases involved pre-shipment inspection services. These services are performed primarily in the country of origin of goods while information about cargo destined for the host country is transmitted there. Also in these cases, tribunals have found that the territorial nexus required by the applicable treaties was satisfied. This was so either in view of the investor's expenditures in the host State,[126] because a substantial and non-severable portion of the overall service was provided in the host State,[127] or in view of a local subsidiary and liaison office.[128]

These cases indicate that where the relevant treaty refers to investments in the territory of the host State, the performance of the relevant activities need not take place in the territory of the host State, at least not in its entirety. Neither is a physical transfer of assets into the host State's territory necessary. What matters is that the economic effect of the investment is felt in the host State's territory.

[124] At para 374. See also *Ambiente Ufficio v Argentina*, Decision on Jurisdiction and Admissibility, 8 February 2013, paras 328, 374–377, 404–409, 496–510.

[125] *Inmaris Perestroika v Ukraine*, Decision on Jurisdiction, 8 March 2010, paras 113–125; *Alpha v Ukraine*, Award, 8 November 2010, paras 275–285; *Deutsche Bank v Sri Lanka*, Award, 31 October 2012, paras 136–143, 221–229, 287–292; *Gold Reserve v Venezuela*, Award, 22 September 2014, paras 261–262; *Orascom v Algeria*, Award, 31 May 2017, para 382; *Adamakopoulos v Cyprus*, Decision on Jurisdiction, 7 February 2020, paras 300, 302–304.

[126] *SGS v Pakistan*, Decision on Jurisdiction, 6 August 2003, paras 46, 136.

[127] *SGS v Philippines*, Decision on Jurisdiction, 29 January 2004, paras 57, 70, 80–82, 89, 99–112; *SGS v Paraguay*, Decision on Jurisdiction, 12 February 2010, paras 109–117.

[128] *BIVAC v Paraguay*, Decision on Jurisdiction, 29 May 2009, paras 97–104. See also *Karkey v Pakistan*, Award, 22 August 2017, para 635.

(c) Transboundary harm

In some cases, tribunals dealt with claims for transboundary harm to investments located in the investors' home States. In *Canadian Cattlemen v United States*,[129] Canadian farmers claimed against the United States for alleged discrimination against their products in the US market. The Tribunal dismissed the claims ruling that the NAFTA protected only investments made in the territory of another State.[130]

In *Bayview v Mexico*,[131] the claimants, US nationals located in Texas, claimed for violation of their water rights by Mexico as a consequence of the diversion of water from a river. The Tribunal dismissed the claims finding that NAFTA only covers investments made by a national of one party in the territory of another NAFTA party. Here, the investment had been made by US citizens on the territory of the United States.[132]

8. Investment in accordance with host State law

In some cases, investment tribunals denied protection because the investment or the claimant's conduct in making it was illegal either under domestic law or under international legal rules or principles.[133] Most tribunals do not consider the legality of an investment as forming part of the notion of investment in the sense of Article 25(1) of the ICSID Convention.[134]

129 *Canadian Cattlemen v United States*, Award on Jurisdiction, 28 January 2008.
130 At para 111. See also *Grand River v United States*, Award, 12 January 2011, paras 87–89.
131 *Bayview v Mexico*, Award, 19 June 2007.
132 At para 113.
133 For further discussion, see C Knahr, 'Investments "in Accordance with Host State Law"' in A Reinisch and C Knahr (eds) *International Investment Law in Context* (2008) 27; A Carlevaris, 'The Conformity of Investments with the Law of the Host State and the Jurisdiction of International Tribunals' (2008) 9 *JWIT* 35; U Kriebaum, 'Illegal Investments' (2010) 4 *Austrian YB Int'l Arb* 307; A Newcombe, 'Investor Misconduct: Jurisdiction, Admissibility, or Merits?' in C Brown and K Miles (eds) *Evolution in Investment Treaty Law and Arbitration* (2011) 187; SW Schill, 'Illegal Investments in Investment Treaty Arbitration' (2012) 11 *LPICT* 281; Z Douglas, 'The Plea of Illegality in Investment Treaty Arbitration' (2014) *ICSID Rev* 155; J Hepburn, 'In Accordance with *Which* Host State Laws?' (2014) 5 *JIDS* 531; T Obersteiner, '"In Accordance with Domestic Law" Clauses' (2014) 31 *J Int Arb* 265; K Diel-Gligor and R Hennecke, 'Investment in Accordance with the Law' in M Bungenberg et al (eds) *International Investment Law* (2015) 566; M Polckinghorne and S-M Volkmer, 'The Legality Requirement in Investment Arbitration' (2017) 34 *J Int Arb* 149; K Betz, *Proving Bribery, Fraud and Money Laundering in International Arbitration* (2017); AP Llamzon, *Corruption in International Investment Arbitration*, 2nd edn (2021).
134 But see *Phoenix v Czech Republic*, Award, 15 April 2009, paras 100–116.

(a) Illegality in contract-based disputes

In contract-based disputes, tribunals have dealt with illegalities of investments at the merits stage and did not treat them as a matter of jurisdiction.[135] In *World Duty Free v Kenya*,[136] the Tribunal found that acts of bribery during the negotiation of the contract prevented the claimant from complaining about violations of the contract by the respondent State. It held that bribery was contrary to the international public order of most States and the applicable national laws and regulations. Therefore, it held that the contract was void. The Tribunal said:

> In light of domestic laws and international conventions relating to corruption, and in light of the decisions taken in this matter by courts and arbitral tribunals, this Tribunal is convinced that bribery is contrary to the international public policy of most, if not all, States or, to use another formula, to transnational public policy. Thus, claims based on contracts of corruption or on contracts obtained by corruption cannot be upheld by this Arbitral Tribunal.[137]

(b) Illegality in disputes based on domestic legislation

Some domestic laws regulating foreign investments condition protection, including access to arbitration, on the fulfilment of certain requirements. For instance, the Law on Foreign investments of Albania of 1993 imposes several conditions, including the prohibition to borrow money or take loans of any kind. In *Anglo-Adriatic v Albania*,[138] the claimant claimed a loan as part of its investment. The Tribunal held that the loan would not qualify as a protected investment since it had been made in breach of Albanian law. An illegal investment fell outside Albania's consent to arbitrate.[139]

(c) Illegality in treaty-based disputes

In treaty-based arbitrations, illegalities in the making of an investment can either have jurisdictional consequences or can deprive an investor of the substantive protection of the investment.

[135] *Niko Resources v Bangladesh*, Decision on Jurisdiction, 19 August 2013, paras 423–485 and Decision on the Corruption Claim, 25 February 2019, paras 568–597.
[136] *World Duty Free v Kenya*, Award, 4 October 2006.
[137] At para 157.
[138] *Anglo-Adriatic v Albania*, Award, 7 February 2019.
[139] At paras 281–296.

BITs frequently include the formula 'investments made in accordance with host State law' or similar formulae in their definitions of the term 'investment'.[140] In the presence of such a formula, an illegality in the making of the investment means that there is no investment for purposes of the BIT and consequently no consent to arbitrate.[141] The words 'in accordance with the laws . . . ' relate to the laws on admission and establishment[142] and also to other rules of the domestic legal order, including those relating to corruption.[143] As a result, investments made in violation of domestic rules may be outside the protection of the relevant treaty, depending upon the nature and gravity of the violation.

Some host States have argued that the formula referring to host State law meant that the concept of 'investment', and hence the reach of protection under the treaty, had to be determined by reference to their own domestic law. Tribunals have rejected this approach. They have held that a reference to the host State's domestic law concerns not the definition of the term 'investment' but solely the legality of the investment.[144] The Tribunal in *Salini v Morocco*[145] stated in this respect:

> This provision [the required compliance with the laws and regulations of the host State] refers to the validity of the investment and not to its definition. More specifically, it seeks to prevent the Bilateral Treaty from protecting investments that should not be protected because they would be illegal.[146]

In *Fraport v Philippines*,[147] the Tribunal applied the BIT between Germany and the Philippines, which defines 'investment' as assets 'accepted in accordance with the respective laws and regulations of either Contracting State'. Furthermore,

[140] According to the UNCTAD Investment Policy Hub, 1,647 out of 2,575 mapped treaties (BITs and treaties with investment chapters), that is 63 per cent of these treaties, contain an 'in accordance with host state laws' requirement.

[141] *Fakes v Turkey*, Award, 14 July 2010, paras 115, 120, 121; *Fraport v Philippines II*, Award, 10 December 2014, para 467.

[142] *PSEG v Turkey*, Decision on Jurisdiction, 4 June 2004, paras 109, 116–20; *Yaung Chi Oo v Myanmar*, Award, 31 March 2003, paras 53–62.

[143] *Ampal-American v Egypt*, Decision on Jurisdiction, 1 February 2016, paras 301–311.

[144] *Tokios Tokelės v Ukraine*, Decision on Jurisdiction, 29 April 2004, paras 83–86; *LESI-DIPENTA v Algeria*, Award, 10 January 2005, para 24(iii); *Plama v Bulgaria*, Decision on Jurisdiction, 8 February 2005, paras 126–31; *Gas Natural v Argentina*, Decision on Jurisdiction, 17 June 2005, paras 33, 34; *Aguas del Tunari v Bolivia*, Decision on Jurisdiction, 21 October 2005, paras 139–155; *Bayindir v Pakistan*, Decision on Jurisdiction, 14 November 2005, paras 105–10; *Saluka v Czech Republic*, Partial Award, 17 March 2006, paras 183, 202–21; *Inceysa v El Salvador*, Award, 2 August 2006, paras 190–207; *Saipem v Bangladesh*, Decision on Jurisdiction, 21 March 2007, paras 79–82, 120–124; *SGS v Paraguay*, Decision on Jurisdiction, 12 February 2010, paras 118–123; *Railroad Development v Guatemala*, Second Decision on Objections to Jurisdiction, 18 May 2010, para 140; *Convial Callao v Peru*, Final Award, 21 May 2013, paras 382–390.

[145] *Salini v Morocco*, Decision on Jurisdiction, 16 July 2001.

[146] At para 46.

[147] *Fraport v Philippines I*, Award, 16 August 2007.

the treaty's provision on admission refers to 'investments in accordance with its Constitution, laws and regulations'.

Legislation in the Philippines contained restrictions on shareholding and management by foreigners in public utility enterprises. The Tribunal found that Fraport had circumvented this legislation by way of secret shareholder agreements. The Tribunal decided that, in view of the investor's conscious violation of the host State's law, it had no jurisdiction:

> Fraport knowingly and intentionally circumvented the ADL [ie domestic legislation] by means of secret shareholder agreements. As a consequence, it cannot claim to have made an investment 'in accordance with law'. Nor can it claim that high officials of the Respondent subsequently waived the legal requirements and validated Fraport's investment, for the Respondent's officials could not have known of the violation. Because there is no 'investment in accordance with law', the Tribunal lacks jurisdiction *ratione materiae*.[148]

The *Fraport* Award was annulled on the ground that the right to be heard had not been observed properly.[149] The Tribunal in the resubmitted case also found that it had no jurisdiction because of a lack of consent triggered by the illegality in the making of the investment. It stated:

> The illegality of the investment at the time it is made goes to the root of the host State's offer of arbitration under the treaty. As it has been held, '*States cannot be deemed to offer access to the ICSID dispute settlement mechanism to investments made in violation of their own law*'. Lack of jurisdiction is founded in this case on the absence of consent to arbitration by the State for failure to satisfy an essential condition of its offer of this method of dispute settlement.[150]

Sometimes, the requirement of compliance of the investment with domestic laws is not part of the definition of 'investment' but found in other parts of the treaty. This was the case in *Inceysa v El Salvador*.[151] The Tribunal had to apply the BIT between Spain and El Salvador, which did not refer to compliance with national laws in the definition of investment but within the provisions on admission and protection.

The Tribunal found that the claimant had presented false information in the bidding process that led to the award of the concession. The Tribunal referred to the principle of good faith, to international public policy, and to the rule that no one should benefit from his own wrongdoing. The Tribunal decided that El Salvador

[148] At para 401.
[149] *Fraport v Philippines I*, Decision on Annulment, 23 December 2010.
[150] *Fraport v Philippines II*, Award, 10 December 2014, para 467. Footnotes omitted. Italics original.
[151] *Inceysa v El Salvador*, Award, 2 August 2006.

had given its consent to ICSID jurisdiction on the condition that the claimant would act in accordance with the law:

> In conclusion, the Tribunal considers that, because Inceysa's investment was made in a manner that was clearly illegal, it is not included within the scope of consent expressed by Spain and the Republic of El Salvador in the BIT and, consequently, the disputes arising from it are not subject to the jurisdiction of the Centre. Therefore, this Arbitral Tribunal declares itself incompetent to hear the dispute brought before it.[152]

The Tribunal found that these considerations applied not just to the consent given under a treaty but also to the jurisdictional rules contained in domestic legislation.[153]

Even without an explicit reference to the host State's law in the governing treaty, an illegality on the part of the investor may deprive the tribunal of jurisdiction[154] or will deprive the investor of its substantive rights. In *Plama v Bulgaria*,[155] the claimant had misrepresented his resources and managerial capacities to the host State.[156] Although the ECT does not contain a clause requiring conformity with the laws of the host State, the Tribunal found that the claimant's conduct amounted to deliberate concealment and to fraud and that claimant could not invoke the ECT's substantive rights. The Tribunal pointed to the rule of law as a fundamental aim of the ECT and to the principle of good faith emanating from Bulgarian law and international law.[157]

(d) Illegality in making the investment

Tribunals have held in numerous cases that the legality requirement refers to the making of the investment. This means that the investment must be legal at its inception. The standard of legality does not relate to its conduct and management once it has been made.[158] In other words, an incidental violation of host State law

[152] At para 257.

[153] At para 258.

[154] *SAUR v Argentina*, Decision on Jurisdiction and Liability, 6 June 2012, paras 304–312; *Achmea v Slovak Republic*, Final Award, 7 December 2012, para 170. But see *Bear Creek v Peru*, Award, 30 November 2017, paras 320–324.

[155] *Plama v Bulgaria*, Award, 27 August 2008.

[156] At para 133.

[157] At paras 140–146.

[158] *Fraport v Philippines I*, Award, 16 August 2007, para 345; *Fraport v Philippines II*, Award, 10 December 2014, paras 331, 333; *Oostergetel v Slovak Republic*, Decision on Jurisdiction, 30 April 2010, paras 175–176, 183; *Fakes v Turkey*, Award, 14 July 2010, paras 115, 117, 119; *Khan Resources v Mongolia*, Decision on Jurisdiction, 25 July 2012, paras 381–385; *Quiborax v Bolivia*, Decision on Jurisdiction, 27 September 2012, paras 255, 266 and Award, 16 September 2015, para 129; *Urbaser v Argentina*, Decision on Jurisdiction, 19 December 2012, para 260; *Vannessa v Venezuela*, Award, 16

during the investment's lifetime will not lead to the withdrawal of protection under the BIT but may become relevant at the merits stage of the proceedings.

In *Hamester v Ghana*,[159] the Germany–Ghana BIT contained an express requirement of compliance with host State legislation.[160] The Tribunal held that an investment will not be protected if it has been created in violation of the national or international principles of good faith or of the host State's law, independently of the language of the BIT.[161] However, the jurisdictional consequences of that provision were limited to illegalities committed in the investment's making:

> The Tribunal considers that a distinction has to be drawn between (1) legality as at the *initiation* of the investment ('made') and (2) legality *during the performance* of the investment. Article 10 legislates for the scope of application of the BIT, but conditions this only by reference to legality at the initiation of the investment. Hence, only this issue bears upon this Tribunal's jurisdiction. Legality in the subsequent life or performance of the investment is not addressed in Article 10. It follows that this does not bear upon the scope of application of the BIT (and hence this Tribunal's jurisdiction)—albeit that it may well be relevant in the context of the substantive merits of a claim brought under the BIT. Thus, on the wording of this BIT, the legality of the creation of the investment is a jurisdictional issue; the legality of the investor's conduct during the life of the investment is a merits issue.[162]

Therefore, the principle of legality is relevant at the stage of the making of the investment but not at the subsequent stage of the investment's operation.

(e) The nature of the violated rules

Some tribunals have examined the rules allegedly violated by the investor. They found that the consequence of withdrawing legal protection from investments would be justified only if certain types of domestic legal rules were affected. This would be the case if the rules were specifically directed at the regulation of investments.[163] A violation of domestic rules of general application, such as tax legislation, will not make the investment illegal.

January 2013, para 167; *Metal-Tech v Uzbekistan*, Award, 4 October 2013, para 193; *Yukos v Russian Federation*, Final Award, 18 July 2014, paras 1349, 1354–1355; *von Pezold v Zimbabwe*, Award, 28 July 2015, para 420; *Oxus Gold v Uzbekistan*, Final Award, 17 December 2015, paras 706–710; *Kim v Uzbekistan*, Decision on Jurisdiction, 8 March 2017, paras 374, 377, 410.

159 *Hamester v Ghana*, Award, 18 June 2010.

160 At para 126.

161 At paras 123–124.

162 At para 127. Italics original.

163 *Achmea v Slovak Republic*, Final Award, 7 December 2012, para 172–173.

In *Fakes v Turkey*[164] the Tribunal drew a distinction between rules specifically directed at the regulation of investments and unrelated domestic rules. It said:

> the legality requirement contained therein concerns the question of the compliance with the host State's domestic laws governing the admission of investments in the host State… it would run counter to the object and purpose of investment protection treaties to deny substantive protection to those investments that would violate domestic laws that are unrelated to the very nature of investment regulation… unless specifically stated in the investment treaty under consideration, a host State should not be in a position to rely on its domestic legislation beyond the sphere of investment regime to escape its international undertakings vis-à-vis investments made in its territory.[165]

Another approach is to look at the fundamental nature of the affected rules of host State law.[166] In *Kim v Uzbekistan*,[167] the Tribunal found that the dominant tendency in practice was 'to state that the substantive scope of the legality requirement is limited to violations of fundamental laws of the Host State'.[168] On that basis, the Tribunal introduced a proportionality test to ascertain the significance of the obligation for the host State and the seriousness of the investor's conduct.[169]

(f) Severity of the violation

Not every minor infraction of host State law leads to a denial of investment protection. Minor errors by the investor or a failure to observe bureaucratic formalities are irrelevant in this context.[170] For instance, a failure to register companies at the appropriate time was held to be inconsequential for the protection of the investment.[171]

[164] *Fakes v Turkey*, Award, 14 July 2010.
[165] At para 119.
[166] *Desert Line v Yemen*, Award, 6 February 2008, para 104; *Rumeli v Kazakhstan*, Award, 29 July 2008, paras 168, 319; *Hochtief v Argentina*, Decision on Liability, 29 December 2014, para 199.
[167] *Kim v Uzbekistan*, Decision on Jurisdiction, 8 March 2017.
[168] At para 384.
[169] At paras 405–409.
[170] *Mytilineos v Serbia and Montenegro*, Partial Award on Jurisdiction, 8 September 2006, paras 137–157; *Desert Line v Yemen*, Award, 6 February 2008, paras 104–106; *Rumeli v Kazakhstan*, Award, 29 July 2008, para 319; *Inmaris Perestroika v Ukraine*, Decision on Jurisdiction, 8 March 2010, paras 144–145; *Quiborax v Bolivia*, Decision on Jurisdiction, 27 September 2012, para 266; *Vannessa v Venezuela*, Award, 16 January 2013, para 167; *Hochtief v Argentina*, Decision on Liability, 29 December 2014, para 199; *Alpha v Ukraine*, Award, 8 November 2010, para 297; *Mamidoil v Albania*, Award, 30 March 2015, paras 479–483, 489, 494; *Kim v Uzbekistan*, Decision on Jurisdiction, 8 March 2017, paras 390, 394; *Krederi v Ukraine*, Award, 2 July 2018, paras 344–370; *Cortec v Kenya*, Award, 22 October 2018, para 320.
[171] *Metalpar v Argentina*, Decision on Jurisdiction, 27 April 2006, para 84.

In *Tokios Tokelės v Ukraine*,[172] the respondent State argued that the name under which the claimant had registered its local subsidiary did not correspond to a recognized legal form under Ukrainian law. Furthermore, it had identified errors in the documents provided by the investor, including the absence of necessary signatures or notarizations. The Tribunal decided that these irregularities did not affect the protection of the investment under the bilateral treaty.[173] Furthermore, the governmental authorities of the respondent had registered the claimant's subsidiary as a valid enterprise. In light of these findings, the Tribunal concluded:

> Even if we were able to confirm the Respondent's allegations, which would require a searching examination of minute details of administrative procedures in Ukrainian law, to exclude an investment on the basis of such minor errors would be inconsistent with the object and purpose of the Treaty. In our view, the Respondent's registration of each of the Claimant's investments indicates that the 'investment' in question was made in accordance with the laws and regulations of Ukraine.[174]

(g) Toleration of illegality by the host State

If the host State has knowingly tolerated any alleged irregularities or illegalities, it cannot subsequently argue that the investment has lost its protection under the treaty.[175] In *Desert Line v Yemen*,[176] the Tribunal emphasized that a host State that had tolerated a legal setting for a certain time is estopped from insisting, against the investor, that the situation was unlawful from the beginning.[177]

In *Railroad Development v Guatemala*,[178] the claimant had not acquired its investment in the railroad business in accordance with the provisions of local law. However, the government was aware of the situation and did not object for years.

[172] *Tokios Tokelės v Ukraine*, Decision on Jurisdiction, 29 April 2004.
[173] At para 85.
[174] At para 86.
[175] *Swembalt v Latvia*, Decision by the Court of Arbitration, 23 October 2000, paras 34, 35; *Tokios Tokelės v Ukraine*, Decision on Jurisdiction, 29 April 2004, para 86; *Kardassopoulos v Georgia*, Decision on Jurisdiction, 6 July 2007, para 192; *Fraport v Philippines I*, Award, 16 August 2007, para 346; *Achmea v Slovak Republic*, Final Award, 7 December 2012, para 176; *Arif v Moldova*, Award, 8 April 2013, paras 374–384; *Stati v Kazakhstan*, Award, 19 December 2013, para 812; *Mamidoil v Albania*, Award, 30 March 2015, paras 466–478, 490–491; *von Pezold v Zimbabwe*, Award, 28 July 2015, para 411; *Philip Morris v Australia*, Award on Jurisdiction and Admissibility, 17 December 2015, para 522; *Rusoro v Venezuela*, Award, 22 August 2016, para 309, 314, 498; *Karkey v Pakistan*, Award, 22 August 2017, paras 627–628; *Gavrilović v Croatia*, Award, 26 July 2018, para 396; *Glencore v Colombia*, Award, 27 August 2019, para 858; *Gosling v Mauritius*, Award, 18 February 2020, para 124.
[176] *Desert Line v Yemen*, Award, 6 February 2008.
[177] At paras 97–123.
[178] *Railroad Development v Guatemala*, Second Decision on Jurisdiction, 18 May 2010.

The Tribunal held that principles of fairness precluded the respondent from raising an objection to the Tribunal's jurisdiction.[179]

(h) Illegalities committed by the host State

Illegalities on the part of State organs will not play out against the investor[180] unless the investor triggered them by its own actions, like for example corruption. In *Kardassopoulos v Georgia*,[181] the host State argued that the Joint Venture Agreement with the claimant was void *ab initio* because the State entities that had signed it had acted *ultra vires*. The Tribunal found that the claim submitted was nevertheless protected under the BIT, primarily due to assurances given to the investor.[182]

A systematic and wilful failure of State organs to apply the host State's law to the investor's detriment, may amount to a violation of the fair and equitable treatment standard.[183]

9. Indirect investments

An indirect investment is an investment that the investor holds through one or more intermediate companies. Typically, the investor will hold shares in a company which, in turn, owns the investment. The Tribunal in *RREEF v Spain*[184] described an indirect investment in the following terms:

> The very concept of an indirect investor and an indirect investment contains within it the concept that there will be a chain of ownership and control that involve more than one entity. Otherwise, there could be no investment that is indirectly owned or controlled. The very concept of indirect ownership or control presupposes that there is interposed between a claimant that is an indirect owner or controller and the investment one or more other owners and controllers through which the claimant owns or controls the investment.[185]

[179] At paras 145–147.
[180] *Karkey v Pakistan*, Award, 22 August 2017, paras 624–628.
[181] *Kardassopoulos v Georgia*, Decision on Jurisdiction, 6 July 2007.
[182] At paras 171–194. See also *Inmaris Perestroika v Ukraine*, Decision on Jurisdiction, 8 March 2010, para 139; *Alpha v Ukraine*, Award, 8 November 2010, para 299. But see: *Anderson v Costa Rica*, Award, 19 May 2010, paras 28, 51–61.
[183] See VIII.1(g)ff below.
[184] *RREEF v Spain*, Decision on Jurisdiction, 6 June 2016.
[185] At para 142.

(a) Customary international law

Customary international law does not look favourably upon the protection of assets owned indirectly by way of an interposed company. In the *Barcelona Traction* case,[186] the International Court of Justice (ICJ) held that Belgium, the State of nationality of the majority shareholders of a company incorporated in Canada, was unable to exercise diplomatic protection against Spain for damage caused to the company. As the ICJ recognized, its judgment was of limited authority in the context of investment treaty arbitration. In an allusion to international investment law, the ICJ acknowledged that its decision was based on customary international law and that treaties may provide otherwise.[187]

In *Diallo v DR Congo*,[188] the ICJ held similarly that the State of nationality of the shareholder (Guinea) was unable to exercise diplomatic protection for damage sustained by the claimant's company against the State in which the company was incorporated (Democratic Republic of Congo). Again, the ICJ pointed out that its decision was based on customary international law. It noted that in contemporary international law the protection of shareholders is governed by bilateral and multilateral treaties and by contracts between States and foreign investors.[189]

Therefore, under customary international law, the State of nationality of shareholders is not entitled to exercise diplomatic protection. As pointed out by the ICJ, this rule does not apply in cases governed by a system of investment treaties. This fact has been noted by investment tribunals.[190] In *Teinver v Argentina*,[191] the Tribunal said:

> *Barcelona Traction* and *Diallo* do not solidify any general principle of international law on shareholder rights that should be applied to the present dispute. Indeed, the Court has taken pains in both *Barcelona Traction* and *Diallo* to distinguish these cases from the situation in which an investment treaty regime would apply.[192]

[186] *Barcelona Traction, Light and Power Co, Ltd (Belgium v Spain)*, Judgment, 5 February 1970, ICJ Reports (1970) 4.
[187] At paras 89–90.
[188] *Diallo case (Guinea v DR Congo)*, Judgment, 24 May 2007, ICJ Reports (2007) 582.
[189] At paras 88–90.
[190] *Telefónica v Argentina*, Decision on Jurisdiction, 25 May 2006, para 83; *Daimler v Argentina*, Award, 22 August 2012, para 90.
[191] *Teinver v Argentina*, Decision on Jurisdiction, 21 December 2012.
[192] At para 221. See also *Gosling v Mauritius*, Award, 18 February 2020, paras 138–139.

(b) Shareholding as a form of investment

Most investment treaties list shareholding or participation in companies as a form of investment that enjoys protection.[193] In this way, even if the affected company does not meet the nationality requirements under the relevant treaty there will be a remedy if the shareholder or controller does. Interest in assets by way of shareholding in or control over companies is referred to as indirect investment.

Respondent States have argued that an investment in assets through shareholding in an intermediary company would be an indirect investment that was outside the tribunals' jurisdiction.[194] Tribunals have consistently rejected this argument and have held that indirect investment through shareholding is a form of investment that was covered by the respective BITs.[195]

In *Genin v Estonia*,[196] the claimants, US nationals, were the principal shareholders of EIB, a financial institution incorporated under the law of Estonia. The BIT between Estonia and the United States in its definition of 'investment' includes 'a company or shares of stock or other interests in a company or interests in the assets thereof'. The Tribunal rejected the respondent's argument that the claim did not relate to an 'investment' as understood in the BIT:

> The term 'investment' as defined in Article I(a)(ii) of the BIT clearly embraces the investment of Claimants in EIB. The transaction at issue in the present case, namely the Claimants' ownership interest in EIB, is an investment in 'shares of

[193] See IV.2(c) above.

[194] For general discussion see SA Alexandrov, 'The "Baby Boom" of Treaty-based Arbitrations and the Jurisdiction of ICSID Tribunals: Shareholders as "Investors" and Jurisdiction *Ratione Temporis*' (2005) 4 *LPICT* 19; C Schreuer, 'Shareholder Protection in International Investment Law' in P-M Dupuy et al (eds) *Festschrift für Christian Tomuschat* (2006) 601; D Gaukrodger, 'Investment Treaties and Shareholder Claims: Analysis of Treaty Practice', OECD Working Papers on International Investment, 2014/03 (2014).

[195] *Vivendi v Argentina*, Resubmitted Case: Decision on Jurisdiction, 14 November 2005, paras 88–94 and Appendix 1 listing 18 cases to this effect. In addition, see: *IBM v Ecuador*, Decision on Jurisdiction and Competence, 22 December 2003, paras 44, 48; *Continental Casualty v Argentina*, Decision on Jurisdiction, 22 February 2006, paras 51–54, 76–89; *Suez and InterAguas v Argentina*, Decision on Jurisdiction, 16 May 2006, paras 46–51; *National Grid v Argentina*, Decision on Jurisdiction, 20 June 2006, para 165 and Award, 3 November 2008, para 126; *Pan American v Argentina*, Decision on Preliminary Objections, 27 July 2006, paras 209–222; *Suez and Vivendi v Argentina*, Decision on Jurisdiction, 3 August 2006, paras 46–51; *Telenor v Hungary*, Award, 13 September 2006, paras 19, 27, 60; *Parkerings v Lithuania*, Award, 11 September 2007, paras 250–254; *Yukos v Russian Federation*, Interim Award on Jurisdiction and Admissibility, 30 November 2009, paras 430–435; *Lemire v Ukraine*, Award, 28 March 2011, paras 34–39; *Paushok v Mongolia*, Award on Jurisdiction and Liability, 28 April 2011, para 202; *Meerapfel v Central African Republic*, Award, 12 May 2011, paras 195, 216–222; *Impregilo v Argentina*, Award, 21 June 2011, paras 110–40, 238–46, 271; *Achmea v Slovakia*, Final Award, 7 December 2012, paras 157–161; *Teco v Guatemala*, Award, 19 December 2013, paras 438–439; *Hochtief v Argentina*, Decision on Liability, 29 December 2014, paras 150–181, 302–307; *Awdi v Romania*, Award, 2 March 2015, para 194; *Busta v Czech Republic*, Final Award, 10 March 2017, para 191.

[196] *Genin v Estonia*, Award, 25 June 2001.

stock or other interests in a company' that was 'owned or controlled, directly or indirectly' by Claimants.[197]

(c) Minority shareholding

The acceptance of shareholding as a protected investment includes minority shareholding.[198] In *CMS v Argentina*,[199] the claimant owned 29.42 per cent of TGN, a company incorporated in Argentina. The definition of 'investment' in the Argentina–US BIT includes 'a company or shares of stock or other interests in a company or interests in the assets thereof'. Argentina argued that CMS, as a minority shareholder in TGN, could not claim for any indirect damage resulting from its participation in the Argentinian company.[200] The Tribunal rejected this argument.[201] It said:

> The Tribunal therefore finds no bar in current international law to the concept of allowing claims by shareholders independently from those of the corporation concerned, not even if those shareholders are minority or non-controlling shareholders.[202] … There is indeed no requirement that an investment, in order to qualify, must necessarily be made by shareholders controlling a company or owning the majority of its shares.[203]

(d) Indirect shareholding

Tribunals have also accepted indirect shareholding, that is, shareholding by way of intermediate companies, as investments. In some of these cases, the definition of 'investments' in the applicable BITs contained references to direct or indirect

[197] At para 324.
[198] *LANCO v Argentina*, Decision on Jurisdiction, 8 December 1998, para 10; *Vivendi v Argentina*, Resubmitted Case: Decision on Jurisdiction, 14 November 2005, paras 88–90; *Enron v Argentina*, Decision on Jurisdiction, 14 January 2004, paras 39, 44, 49; *Enron v Argentina*, Decision on Jurisdiction (Ancillary Claim), 2 August 2004, paras 21, 22, 29, 39; *LG&E v Argentina*, Decision on Jurisdiction, 30 April 2004, paras 50–63; *Sempra v Argentina*, Decision on Jurisdiction, 11 May 2005, paras 92–94; *El Paso v Argentina*, Decision on Jurisdiction, 27 April 2006, para 138 and Award, 31 October 2011, paras 206–213; *Metalpar v Argentina*, Decision on Jurisdiction, 27 April 2006, para 68; *CMS v Argentina*, Decision on Annulment, 25 September 2007, paras 58–76; *Phoenix v Czech Republic*, Award, 15 April 2009, paras 121–123; *Walter Bau v Thailand*, Award, 1 July 2009, paras 12.31–12.32; *Hochtief v Argentina*, Decision on Jurisdiction, 24 October 2011, paras 112–119; *Levy v Peru*, Award, 26 February 2014, para 144; *Adamakopoulos v Cyprus*, Decision on Jurisdiction, 7 February 2020, paras 286–288.
[199] *CMS v Argentina*, Decision on Jurisdiction, 17 July 2003.
[200] At paras 36, 37.
[201] At paras 47–65.
[202] At para 48.
[203] At para 51. See also *CMS v Argentina*, Decision on Annulment, 25 September 2007, para 73.

investments.[204] In other cases the applicable BITs did not contain such references.[205] The existence or absence of references to direct or indirect investments does not appear to have made a decisive difference to the tribunals' decisions. Investments made by way of intermediate corporations were invariably accepted as investments covered by the respective BITs. The intermediate companies may be registered in the investor's home State, in the host State, or in a third State.

One form of indirect shareholding is an investment through a company registered in the investor's home State which is not itself a claimant.[206] This constellation has rarely led to difficulties.

Investments through companies established in the host State are common.[207] Many States require that foreign investments are made through locally established companies. In *Paushok v Mongolia*,[208] the claimant was the 100 per cent owner of GEM, a company incorporated in Mongolia. The respondent contested the existence of an investment. The Tribunal pointed out that the relevant BIT's definition of 'investment' included shares and said:

> Claimants' investment are the shares of GEM, a company incorporated under Mongolian law as required by that country in order to engage into the mining business and, through ownership of those shares, Claimants are entitled to make claims concerning alleged Treaty breaches resulting from actions affecting the assets of GEM.[209]

[204] *Azurix v Argentina*, Decision on Jurisdiction, 8 December 2003, paras 63–74; *Enron v Argentina*, Decision on Jurisdiction, 14 January 2004, paras 42–57 and Decision on Annulment, 30 July 2010, paras 115–127; *Waste Management v Mexico II*, Award, 30 April 2004, paras 77–85; *Camuzzi v Argentina*, Decision on Jurisdiction, 11 May 2005, para 32; *Noble Energy v Ecuador*, Decision on Jurisdiction, 5 March 2008, paras 70–83; *Société Générale v Dominican Republic*, Decision on Jurisdiction, 19 September 2008, paras 16, 51; *Arif v Moldova*, Award, 8 April 2013, para 379.

[205] *Siemens v Argentina*, Decision on Jurisdiction, 3 August 2004, paras 138–144; *Gas Natural v Argentina*, Decision on Jurisdiction, 17 June 2005, paras 32–35; *Kardassopoulos v Georgia*, Decision on Jurisdiction, 6 July 2007, paras 121–124; *Tza Yap Shum v Peru*, Decision on Jurisdiction, 19 June 2009, paras 80, 91–111; *Inmaris Perestroika v Ukraine*, Decision on Jurisdiction, 8 March 2010, paras 109–112; *Mobil v Venezuela*, Decision on Jurisdiction, 10 June 2010, paras 162–166; *CEMEX v Venezuela*, Decision on Jurisdiction, 30 December 2010, paras 141–158; *Urbaser v Argentina*, Decision on Jurisdiction, 19 December 2012, paras 235–254; *Teinver v Argentina*, Decision on Jurisdiction, 21 December 2012, paras 229–235; *Adamakopoulos v Cyprus*, Decision on Jurisdiction, 7 February 2020, paras 273–285.

[206] *Siemens v Argentina*, Decision on Jurisdiction, 3 August 2004, paras 123–134, 137, 142; *Berschader v Russian Federation*, Award, 21 April 2006, paras 47, 127, 138, 143; *Teinver v Argentina*, Decision on Jurisdiction, 21 December 2012, paras 4, 207, 229–232; *Awdi v Romania*, Award, 2 March 2015, para 201.

[207] *Enron v Argentina*, Decision on Jurisdiction, 14 January 2004, paras 50–57; *Total v Argentina*, Decision on Jurisdiction, 25 August 2006, para 76; *BG Group v Argentina*, Final Award, 24 December 2007, para 205; *Urbaser v Argentina*, Decision on Jurisdiction, 19 December 2012, paras 29, 235–254; *Krederi v Ukraine*, Award, 2 July 2018, para 245; *Casinos Austria v Argentina*, Decision on Jurisdiction, 29 June 2018, paras 49, 186.

[208] *Paushok v Mongolia*, Award on Jurisdiction and Liability, 28 April 2011.

[209] At para 202.

Some cases involve indirect investment made by way of companies in a third State, that is, a State that is neither the host State nor the investor's home State. Practice dealing with investments by way of third country companies shows a general acceptance also of this form of indirect investment.[210]

In *Noble Energy v Ecuador*,[211] the claimant indirectly owned the local company through two levels of intermediaries registered in the Cayman Islands and in Delaware respectively. Ecuador contended that Noble Energy could not bring the claim because it did not make the investment itself and because the ICSID Convention did not allow a 'grandparent company' to bring a claim.[212] The Tribunal said:

> The Tribunal concurs with previous tribunals that have held that an indirect shareholder can bring a claim under the ICSID Convention and under a BIT in respect of a direct and an indirect investment. Failing any contrary wording, the BIT and the ICSID Convention encompass actions of indirect shareholders for their damages.[213]

The Tribunal also addressed the question how far indirect ownership may be traced to still qualify for treaty purposes. It noted that there may well be a cut-off point somewhere. But it found:

> the cut-off point, whatever it may be, is not reached with two intermediate layers. The relationship between the investment and the direct shareholder, on the one hand, and the indirect shareholder, on the other, is not too remote.[214]

It followed that Noble Energy had standing under the ICSID Convention and the BIT as indirect owner of the local company.[215]

[210] *Sedelmayer v Russian Federation*, Award, 7 July 1998, sections 4.1., 2.1.1, 2.1.4, and 2.1.5; *Lauder v Czech Republic*, Award, 3 September 2001, paras 77, 120, 153, 154; *Kardassopoulos v Georgia*, Decision on Jurisdiction, 6 July 2007, paras 123–124; *Tza Yap Shum v Peru*, Decision on Jurisdiction, 19 June 2009, para 106; *Al Warraq v Indonesia*, Final Award, 15 December 2014, paras 511, 517; *Eyre and Montrose v Sri Lanka*, Award, 5 March 2020, paras 264–266.

[211] *Noble Energy v Ecuador*, Decision on Jurisdiction, 5 March 2008.

[212] At para 71.

[213] At para 77.

[214] At para 82. See also *Enron v Argentina*, Decision on Jurisdiction, 14 January 2004, paras 50–56; *Kim v Uzbekistan*, Decision on Jurisdiction, 8 March 2017, para 320: 'The Tribunal concludes that there is no basis—in the BIT or in the authorities to which the Parties make reference—to read a "remoteness" test into the definition of "investor".'

[215] *Noble Energy v Ecuador*, Decision on Jurisdiction, 5 March 2008, para 83.

(e) The nature of the protected rights

Indirect investors are protected not only against action that affects their ownership rights in the shares. Their protection extends to the company's economic value and its assets. In other words, rights derived from the shares are also protected. Those derivative rights are primarily the right to participate in the operation and economic success of the company. It follows that adverse action by the host State, in violation of treaty standards affecting the company's economic position, gives rise to rights by the company's shareholders and controllers. Investment tribunals have upheld this principle in numerous cases.[216]

In *Continental Casualty v Argentina*,[217] the Tribunal relied on a definition of 'investment' in the Argentina–US BIT that included 'a company or shares of stock or other interests in a company or interests in the assets thereof.' The Tribunal summarized these rights in the following terms:

> the treaty protection is not limited to the free enjoyment of the shares, that is the exercise of the rights inherent to the position as a shareholder, specifically a controlling or sole shareholder. It also extends to the standards of protection spelled out in the BIT with regard to the operation of the local company that represents the investment.[218]

The principle that shareholders may complain of State actions that adversely affect the economic position of the companies whose shares they hold, is reflected in Article 13(3) of the Energy Charter Treaty dealing with expropriation:

> For the avoidance of doubt, Expropriation shall include situations where a Contracting Party expropriates the assets of a company or enterprise in its Area

[216] *CMS v Argentina*, Decision on Jurisdiction, 17 July 2003, paras 59, 66–69 and Decision on Annulment, 25 September 2007, paras 58–76; *Azurix v Argentina*, Decision on Jurisdiction, 8 December 2003, paras 69, 73 and Decision on Annulment, 1 September 2009, paras 57–62, 76–80, 86–130; *Enron v Argentina*, Decision on Jurisdiction, 14 January 2004, paras 35, 43–49, 58–60 and Decision on Jurisdiction (Ancillary Claim), 2 August 2004, paras 17, 34–35; *Siemens v Argentina*, Decision on Jurisdiction, 3 August 2004, paras 125, 136–150; *GAMI v Mexico*, Award, 15 November 2004, paras 26–33; *Camuzzi v Argentina*, Decision on Jurisdiction, 11 May 2005, paras 45–67; *Sempra Energy v Argentina*, Decision on Jurisdiction, 11 May 2005, paras 73–79; *Bogdanov v Moldova*, Award, 22 September 2005, para 5.1; *Continental Casualty v Argentina*, Decision on Jurisdiction, 22 February 2006, para 79; *Telefónica v Argentina*, Decision on Jurisdiction, 25 May 2006, paras 68–83; *Total v Argentina*, Decision on Jurisdiction, 25 August 2006, para 74; *Azurix v Argentina*, Decision on Annulment, 1 September 2009, para 108; *RosInvest v Russian Federation*, Final Award, 12 September 2010, paras 605–609, 625; *Daimler v Argentina*, Award, 22 August 2012, paras 82–93; *Arif v Moldova*, Award, 8 April 2013, para 380; *Bogdanov v Moldova III*, Final Award, 16 April 2013, paras 167–168; *ST-AD v Bulgaria*, Award on Jurisdiction, 18 July 2013, paras 278–285; *Hochtief v Argentina*, Decision on Liability, 29 December 2014, paras 150–181, 302–307; *von Pezold v Zimbabwe*, Award, 28 July 2015, paras 321, 326; *Alghanim v Jordan*, Award, 14 December 2017, paras 118–121; *Mera v Serbia*, Decision on Jurisdiction, 30 November 2018, paras 130, 135; *Anglo American v Venezuela*, Award, 18 January 2019, paras 208–213; *Strabag v Libya*, Award, 29 June 2020, paras 125–136; *Bridgestone v Panama*, Award, 14 August 2020, paras 172–174.

[217] *Continental Casualty v Argentina*, Decision on Jurisdiction, 22 February 2006.

[218] At para 79.

> in which an Investor of another Contracting Party has an Investment, including through the ownership of shares.

Some tribunals have expressed the view that the rights of indirect investors do not go beyond what could be derived from their shareholding.[219] In *Poštová banka v Greece*,[220] the Tribunal said:

> a shareholder of a company incorporated in the host State may assert claims based on measures taken against such company's assets that impair the value of the claimant's shares. However, such claimant has no standing to pursue claims directly over the assets of the local company, as it has no legal right to such assets.[221]

It follows that, based on treaty provisions listing participation in companies as a form of investment, shareholding in a company enjoys protection. Thus, even if the affected company does not meet the nationality requirements under the relevant treaty, there will be a remedy if the shareholder does. This is particularly relevant where, as is frequently the case, the company has the nationality of the host State and does not qualify as a foreign investor. In this situation, the company in question is not treated as the investor but as the investment.

Shareholder protection extends not only to ownership in the shares but also to the economic value of the shareholding. The tribunals' case law is, however, split concerning the question whether the protection covers the assets of the company only to the extent that the value of the investor's shares is affected. The difference between the adherents of a direct right to damages for adverse action against the investment and the adherents of an indirect right via the value of the participation in the investment is of limited practical significance. It represents different ways of describing the legal foundation of the investor's claim. It may have some influence on the calculation of damages at the quantum stage. But it does not affect the fundamental question of the investor's *ius standi*, that is, its right to present a claim.

Practical problems can arise where claims are pursued in parallel, especially by different shareholders or groups of shareholders. In addition, the affected company itself may pursue certain remedies while a group of its shareholders may pursue different ones. The situation becomes even more complex where indirect shareholding through intermediaries is combined with minority shareholding. In such a case, shareholders and companies at different levels may pursue conflicting or competing litigation strategies that may be difficult to reconcile and coordinate.

[219] *BG Group v Argentina*, Final Award, 24 December 2007, paras 214–217; *El Paso v Argentina*, Award, 31 October 2011, paras 177–214; *ST-AD v Bulgaria*, Award on Jurisdiction, 18 July 2013, paras 268–285; *Enkev Beheer v Poland*, First Partial Award, 29 April 2014, paras 310, 313; *Casinos Austria v Argentina*, Decision on Jurisdiction, 29 June 2018, paras 184, 185.

[220] *Poštová banka v Greece*, Award, 9 April 2015.

[221] At para 245.